Business Studies

Grade 12

Subject content

1. The basis of business and the environment in which it operates.
2. Businesses social responsibilities and business ethics
3. Businesses having relationship with the government
4. Need of establishing and maintaining different types of business organizations formally.
5. Contribution of entrepreneurship in social, economic and personal development
6. Appreciates the contribution of small & medium scale businesses in economic development.
7. Evaluates the contribution of money and financial institutions
8. The necessity of insurance for the existence of businesses.

9. Using communication effectively for the success of business activities.
10. Contribution of logistics for the success of businesses
11. The contribution of trade in distributing the products.

1. The basis of business and the environment in which it operates.

Business concept

All the activities related to the production, distribution, selling of goods and services with a profit motive in order to satisfy human needs and wants can generally be defined as business. There are businesses which fulfill the needs and wants without a profit motive.

"A business is any economic activity which fulfils human needs and wants."

Needs and wants

Needs

The physical and mental conditions which are compulsory to be fulfilled by humans are known as needs. Eg:- Food, clothes, house, education, health, communication, transport, safety

Wants

Wants are the different ways of fulfilling the needs. Eg:- Rice, bread, string hoppers, tea

The examples of needs and wants

Needs	Wants
Food	Rice, bread, string hoppers, tea
Cloth	Saree, frock, trouser, shirt
House	Storied house, lodges, hostels, quarters,
Education	School education, education in pirivenas, private schools, educational courses, books
Health	Government hospitals, private hospitals, medicines, medical tests
Communication	Telephone, fax, email, internet facilities
Safety	Police, army, private security services

The differences between needs and wants

Needs	Wants
Limited	Unlimited

Common to every person	Differs from person to person
Essential for survival	Not essential for survival
Cannot be created by businessmen	Can be created by businessmen
Cannot be changed by social forces	Can be changed by social forces

Products

Anything offered to the market which fulfils human needs and wants are known as "Products". Human needs and wants are fulfilled by products.

• Products can be categorized mainly as goods and services.

Differences between goods and services

Goods	Services
Tangible (Can be touched)	Intangible (Cannot be touched)
Can be stored.	Cannot be stored.
Identical products can be produced.	Varies according to service Provider.
Separable from the producer.	Inseparable from the service Provider.

Market

Market is any situation where buyers and sellers meet or connect.

Eg:- retail market, wholesale market, stock market,

Goods and services are obtained from the market to fulfill human needs and wants.

Characteristics of business

- Exchange or selling takes place.
- Transaction of goods and services take place.
- Continuous transactions will take place.
- Motivated by profit.

Characteristics of business

1. Exchange or selling takes place.

All the businesses sell or exchange goods and services for monetary value, buying or selling of a goods and services at a price is an essential factor of the business. If there is no such selling or exchange then there is no business activity. For example cooking food for family members at home is not considered as a business whereas cooking food to sell is considered as a business

2 Transaction of goods and services takes place.

All the businesses produce or purchase goods and services in order to sell others. They can be consumer goods or industrial (business) goods. Goods which are bought for final/end consumption such as bread, clothes, shoes are known as consumer goods. Goods which are bought for the production of consumer goods such as raw materials, machinery are known as industrial / business goods. Intangibles such as electricity, insurance, banking services are some examples for services.

3 Continuous transactions take place

If the transaction of goods and services are done continuously for a long period of time, it is known as a business. If only one transaction takes place it is not considered under business. For example if a person sells his old scooter which was used by him is not a business. But if he sells the scooters on a continuous basis it is a business.

4 Motivated by profit/ benefits

The basic goal of a business is to earn money and acquire wealth. A profit earned in terms of rupees and cents, an income more than the expenditure, building business relationships, generating business opportunities and providing social welfare are included in profit. Accordingly, there are profit motive businesses as well as businesses with non profit motive but motivated by benefits. Therefore profit in the business field is essential for the expansion of a business.

5 Has a risk

There are risks in the businesses due to the uncertainty in earning profit and the possibility of incurring a loss. Since the future of a business is uncertain, changes in the business environment, the inability to control the following facts which affect profit will create an uncertainty for a business.

1. Changes in consumer taste design and demand.
2. Changes in production technology and machinery.
3. Increase in market competition.
4. Scarcity of raw material, power failure and shortage of fuel.
5. Employee problems and strikes.
6. Fire, theft, burglary and accidents.
7. Incorrect management decisions on using the business resources.
8. Businesses always face risks. Having such risks is a characteristic of a business.

6 Create wants

Businesses produce goods and services to satisfy human wants. Some businesses turn raw materials into finished goods to satisfy human wants. Some businesses satisfy human wants by transporting products from a place to a place where there is a high demand for the product. Some businesses satisfy human wants by storing at the time of harvesting in order to provide at the time of scarcity. Accordingly, every business creates human wants by providing goods and rendering services.

7 An economic activity

Businesses are essentially considered as economic activities since they produce goods and services using limited resources and engage in distribution activites. It is money oriented. Businesses are economic activities since they sell goods and services and use limited resources.

- Has a risk.

- Creates wants.
- An economic activity

Two main activities of a business

- Fulfilment of needs and wants.
- Adding value to the resources.

• Value addition is the increment of the value of resources which happens when the nature of the resource is changed during the production of goods and services. When businesses change the nature of the resources there will be a value addition. Accordingly the value addition to the resources will be an activity of the business.

• There can be various goals/ objectives for a business; some of them are given below,

1. Survival in the market.
2. Profit maximization.
3. Sales maximization.
4. Increasing market share.
5. Increasing consumer satisfaction.
6. Maximizing the market value of shares.
7. Personal satisfaction of businessmen.
8. Social and community welfare.
9. Employee welfare.

Businesses also contribute to the existence of the economy.

Examples :

1. Satisfying wants which are complex and changing.
2. Innovation.
3. Generating employment.
4. National economic development.

Evolution of business

Direct production → barter system → Use of money → Industrial revolution→ Information era

There was a self sufficient economic system in the past. In that self sufficent economic system, one produced his own requirements by himself. Producing his own requirement by himself is known as direct production. Specialization was developed through direct production. The result of personal specialization is the surplus of production. The surplus production caused the barter system. Barter system was the **first stage** of the evolution of business. But the barter system ended up with some difficulties such as

1. Problems in double coincidences of wants
2. Divisibility problems
3. Difficulties in transportation
4. Difficulties in measuring value
5. Problems in storing

FALIUR OF BARTA SYSTEM

Trade emerged with the barter system. Producing for the market is known as indirect production. People started to exchange goods for common medium of exchange. It was known as money. Various materials were used as the medium of exchange to overcome the drawbacks of the barter system. The evolution of money from the barter system to the present can be sorted as follows:

• Use of materials

example: sea shells, tobacco

• Use of metals

Example: metals such as gold and silver

• Use of metal money

Values were imprinted on the face of metal pieces indicating the values. This became the base for the printed metal coins that came later.

• Use of coins & notes

To rectify the inconvenience caused by using precious metals as money, notes and coins that don't contain intrinsic value came into use. This includes notes and coins issued by the government authority.

Examples -: Sri Lanka – Rupees

Great Britain – Pound

USA – Dollar

Countries in the European Union – Euro

Use of bank money

Usage of current accounts cheques

• Use of electronic money

A method in which the transactions are done with computerized networks which was introduced by the development of information and digital technology.

Examples - Credit cards

Debit cards

Prepaid cards

Micro chips or mobile cash

Functions of money

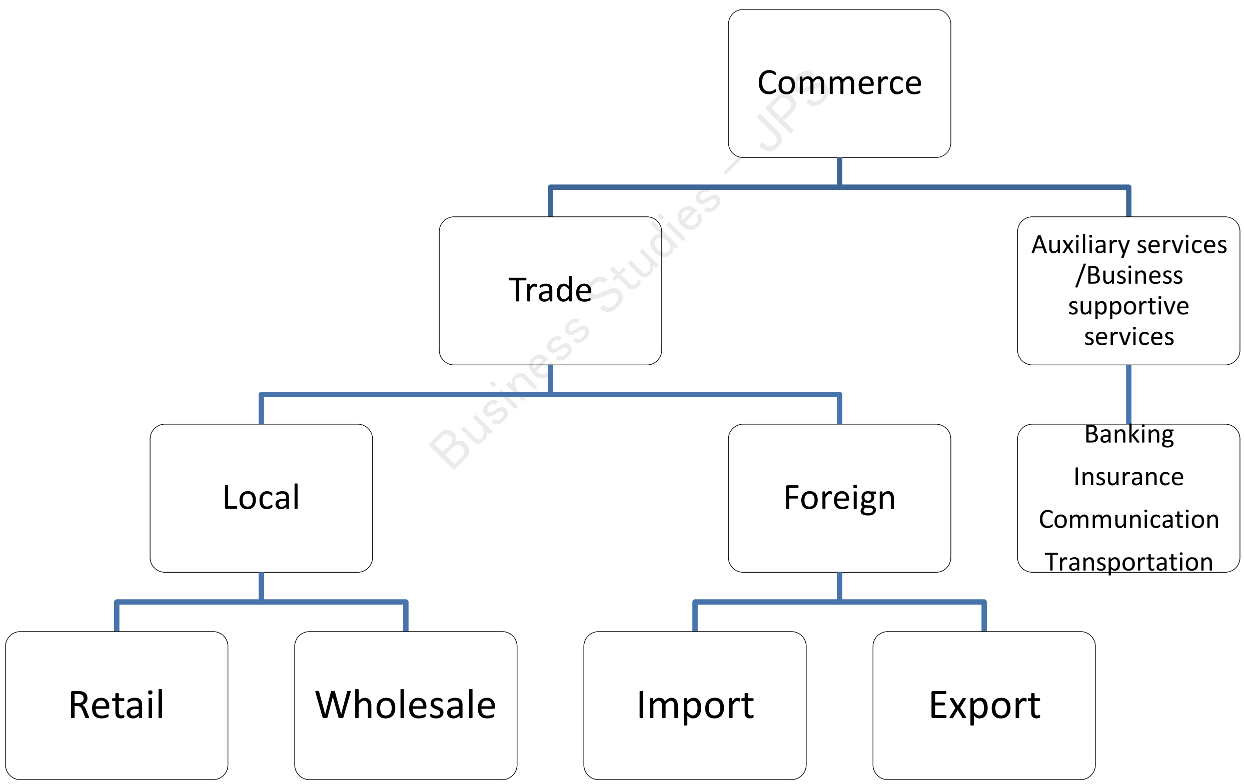
1. Common medium of exchange
2. Measure of value / unit of account

3. Standard of differed payment
4. Store of wealth

Usage of money is the second stage of the evolution of business.

With the industrial revolution in European countries, cottage industries converted into large scale industries and trade was expanded. There was a development in auxiliary services such as banking, transport, insurance, communication and warehousing due to the industrial revolution Industrial revolution is the third stage of the evolution of business.

Commerce is the combination of trade and support services (commerce = trade + support services)



At present there is an era of electronic commerce and electronic business. When buying and selling activities are conducted through internet, it is known as electronic commerce. When all the activities which belong to the business are conducted by the use of internet it is known as electronic business.

Information era is the fourth stage of the evolution of business. Following are some of the reasons for the popularity of electronic commerce

1. Business information can be exchanged without documents
2. Speeding up of business activities
3. Minimizing operational cost and inventory costs
4. Emergence of global market space
5. Increase in the quality of goods and services
6. Saving customers' time and energy
7. Increasing computer literacy
8. Improvement of infrastructure facilities

Following are the four important stages of business evolution

- Barter system
- Use of money
- Industrial revolution
- Information era

New trends in the business field

1. Expansion of globalization
2. Emergence of electronic businesses
3. Use of electronic money
4. Concern on environment
5. Concern on business social responsibilities

Business classification criteria

Business can be classified under the following criteria.

- According to the nature of the production.
- According to the ownership/ proprietorship.
- According to the goals.
- According to the scale.

- According to the production sector/source of production.

Criteria	Classification
Nature of production	Primary Secondary Tertiary
ownership	Private Public
goals	Profit Non profit
scale	Small scale Large scale
Production sector	Agriculture Industries Services

Classifications of primary, secondary and tertiary according to the nature of the production

Primary sector- Agriculture, forestry and fishing Mining and quarrying

Secondary sector- Manufacturing industries Construction industries

Tertiary- Electricity, gas providing steam and air conditioning, Clarification and distribution of water, Banking, Insurance and real estate etc, Ownership of dwelling

Businesses can be classified as agriculture, industries and services according to the production Sector or source of industries.

The sectorial composition of the GDP is published in the annual report of the Central Bank of Sri Lanka.

1. Agriculture, livestock timber and forestry

1.1 Tea

1.2 Rubber

1.3 Coconut

1.4 Minor export crops

1.5 Paddy

1.6 Live stocks

1.7 Other faced crops

1.8 Plantation development

1.9 Timber and forestry

1.10 Other agricultural crops.

1.11 Fishing

2. Industry

3. Mining and quarrying

4. Manufacturing

4.1 Processing (Tea, Rubber, Coconut)

4.2 Manufacturing

4.3 Cottage industry

5. Electricity, Gas and water

5.1 Electricity

5.2 Gas

5.3 Water

1. Construction Services

2. Wholesale and retail trade

2.1 Import trade

2.2 Export trade

2.3 Domestic trade

3. Hotels and restaurants

4. Transport and communication

4.1 Transport

4.2 Cargo handling. Ports and Civil aviation

5. Banking, Insurance, real estate etc.

6. Ownership of dwelling

7. Government service

8. Private services

Mining and quarrying come under primary sector, when classifying according to the nature of production, but mining and quarrying come under industries when classifying according to the source of industries. According to the nature of production electricity, gas and water come under the tertiary sector but according to the source of industries they come under industries. The sectorial contribution to the GDP can be presented as a percentage.

Business as a process of inputs and outputs

Inputs / Resources
Land Labour
Capital
Entrepreneurship
Information Time
Knowledge

Business Functions
Administration
Operations
(Production)
Marketing

Financial Human

Goods

And

Services

Inputs /factors of production

Input factor	**Examples**
Land	• Land where building is situated • Ventilation • Sunlight (Natural light)
Labour	• Physical and mental labour of the tailor • Physical and mental labour of the supervisor • Mental labour of the managers • Labour of the watchmen
Capital	• Building • Sewing machines, equipment • Distributing vehicles Materials, thread, buttons, zips Money
Entrepreneurship	• Decision maker of the combination of resources • (Person who enjoys profits) • Decision maker who undertakes risks • Individuals or institutes

Information	• Designs that suit with consumer taste • New information about raw materials • Information about new technology • Information about the market
Time	• Working hours of employees • Working hours of machines • Time taken to make decisions
Knowledge	• Obtaining patents for new products • Skills of garment employees • Knowledge processed by managers • Knowledge of designing technicians • Law advice

Business functions

Functions	**Examples**
Administration	• Preparing employee s'files. • Providing relevant advice • Maintaining attendance sheets
Production	• Obtaining raw materials • Inventory control • Quality control
Marketing	• Distribution of garments • Advertising • Deciding of price
Financial activities	• Obtaining funds • Paying salaries • Investing funds
Human resource activities	• Recruiting o f employees • Training • Promoting

Research and development	• Conducting researches on newInnovations • Improving the products • Exploring low cost methods
Management of information activities	• Maintaining information • system • Obtaining new information • Updating the information

Reasons for the interest of stakeholders in businesses

The stakeholders of a business

1. Owners/shareholders
2. Managers
3. Employees
4. Creditors
5. Customers
6. Suppliers
7. Potential investors
8. Government
9. Community
10. Other parties

Reasons for the interest of each stakeholder

Owner

- To know if they receive an adequate profit for the money they have invested
- To find about the growth of the business
- To know the market share

Managers

- To maximize the profit of the business
- To know the growth of the business
- To know the successfulness of the management decisions

Employees

- To obtain a higher salary
- To obtain a bonus
- To get promotions

Creditors

- To know the ability of recovering the loans
- To know the safety of the lendings
- To ensure the safety of collaterals

Customers

- To receive quality goods and services
- To see if the responsibilities are fulfilled properly.
- To ensure the existence of the business

Supplies

- To receive continuous orders
- To collect money back for the goods supplied

Potential Investors

- To invest their resources in that business in future

Government

- To collect taxes/ to give tax reliefs

- To improve the employment
- To measure the economic development

Community

- To know about the envionment protection.
- To obtain job opportunities.

Given below are some reasons for the importance of stakeholders to a business.

Reasons for the importance of stakeholders to a business

Owners

- To increase the investment
- To ensure the existence of the business

Employees

- To improve the employees' efficiency
- To retain the employees
- To get the employee attraction

Debtors

- To obtain the funds continuously
- To obtain the funds at low cost

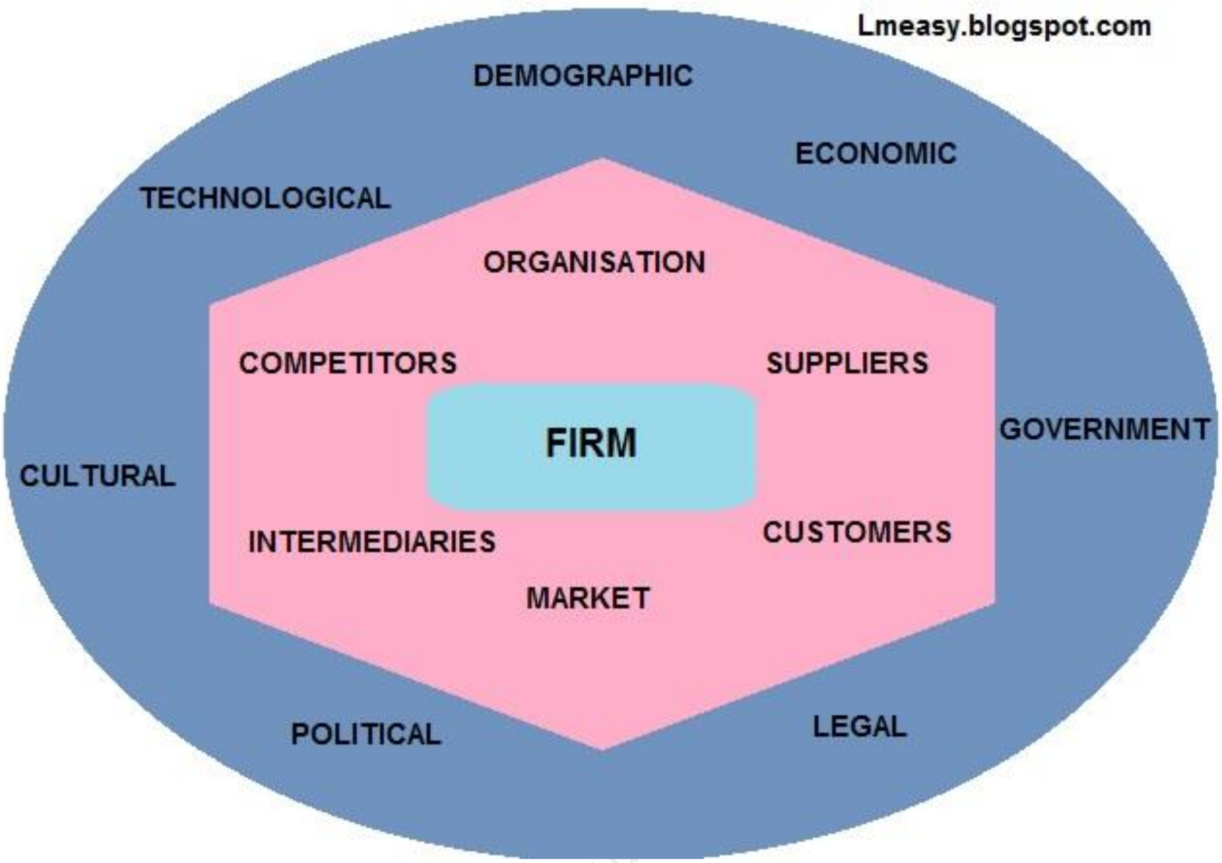
Customers

- To protect the market of the relevant goods and services
- To build up consumer confidence
- To create consumer loyalty

Government

- To get tax reliefs
- To get infrastructure facilities
- To obtain technological knowledge

Business environment



The environment, in which the factors which influence the business operates is known as business environment. Factors of business environment can be catergorized into two

1. **Internal Environment**

   The forces and conditions that influence and exist within an organization are known as Internal environment.

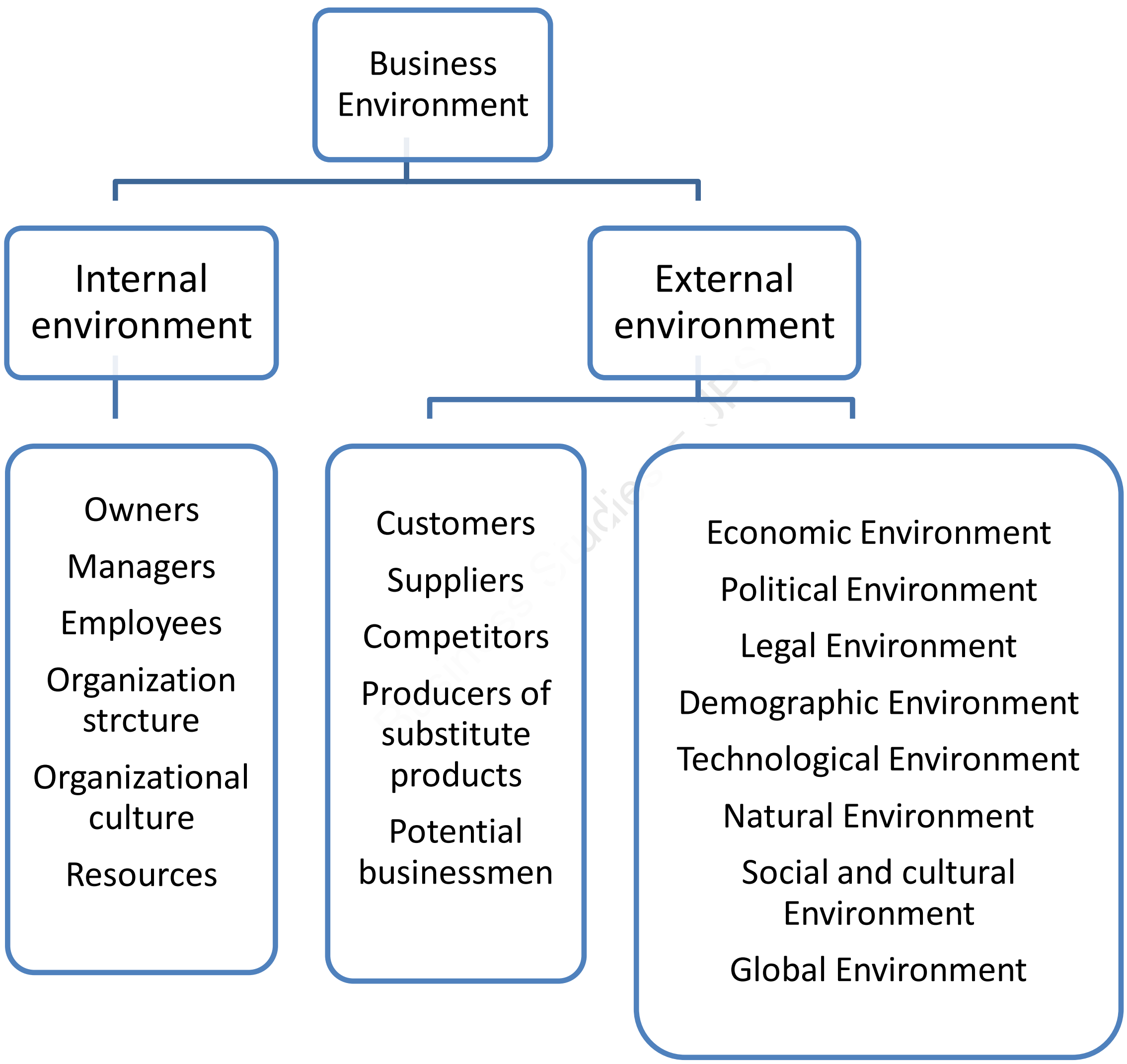
2. External Environment

All forces that influence and exist outside of an organization are known as External environment. It consist of two sub environments

Immediate/ Task/ close environment - The specific organizations or groups that influence and belong to external environment of the business are known as immediate environment.(Task environment)

Macro environment

The broad environment of a business and influential groups related to it are known as macro environment or general environment.



Benefits that a businessman get by studying business environment

- To identify strengths
- To identify weaknesses

- To identify business opportunities
- To identify threats

The Internal environment

- The party, who contributed resources or invested funds in a business and endures profits or losses is owners.
- The party who formulates business plans and makes decisions is the managers.
- The party, who is engaged on relevant works according to the plans and decisions made by the top managers, is employees.
- The organization culture is the beliefs, values, attitudes, norms, habits, behavioural patterns that are shared among everyone in the business and which will be handed over to future generation.
- The way in which the functions, resources and authority of a business are distributed to achieve the objective of a business easily is organization structure.
- Everything such as land, labour, capital, entrepreneurship, time, information and knowledge that are used as inputs for producing goods and services are resources .

Environmental factor	Strengths	Weaknesses
Owners	• Having a larger number of them. • Their increased financial strength. • Their increased knowledge and experience.	• Having a smaller number of them. • Decreased financial strengths in them. • Lack of knowledge and experience in them
Managers	• Their increased training and experience.	• Decreased training and development.

	• Ability to take correct decisions.	• Being backward to take decisions. • Taking wrong decisions.
Employees	• Having clever experienced employees. • Having versatile abilities in them. • Having good attitudes in them. • • Having motivated employees.	• Having inexperienced employees. • Having irresponsible and unaccountable employees. • Having unfavourable working habits in them • Having negative attitudes in them. • Having inefficient employees.
Organizational culture	• Having a positive evaluation and value system. • Having an inherent, developed ethics and habits.	• Not having an established value system and ethical system. • Not having a high supervision.

Organizational strcture	• Proper division of work. • Proper building up of the organization	• Having conflicts among roles. • Lack of coordination among sections.
Resources	• Quantitativeness • Qualitativeness	• Having outdated resources • Lack of resources • Not having enough resources

The task environmental forces of a business.

- **Customers (Consumers)**

  Buyers of the goods and services of a business are the consumers. Factors such as, awareness of consumers, income of consumers etc. will create opportunities. for some businesses and will create threats for some business.

- **Suppliers**

  Individuals and institutions that provide resources needed for a business are suppliers. Factors such as, providing or not providing quality materials in time by suppliers, giving or not giving discounts etc. create opportunities as well as threats to a business.

- **Competitors**

  The business that provides similar goods and services as that of the business are competitors of the business. Entry of new competitors to the market, existing competitors leaving the market, providing different facilities with goods and services by competitors etc. create opportunities as well as threats for a business.

- **Produces of substitute products**

  Those who supply alternative products or services for the product that the business supply are the producers of substitute products.While the availability of plentiful substitute products is a threat to a business, it also creates other business opportunities.

- **Potential businessmen**

  Those who expect to enter the market create opportunities and threats as well.

Macro environmental factors

Political Environment

Government agencies, political policies of existing government affect businesses.

examples :

Government's political vision and policies

Following open economic policies.

Businesses should try to get use of the opportunities and face threats implied from this environment.

Legal Environment

Government acts, rules and regulations will have an impact on the businesses in that country.

o Consumer affairs authority act

o Labour rules and regulations

o Sri Lankan standard act

Businesses should try to conduct business activities according to these rules and regulations and face the opportunities and threats implied from this environment.

Economic Environment

While the purchasing power of people influence the existence of businesses, the cost that have to be incurred for business activities also depend on economic factors examples :

Inflation, interest rate, gross national product, employment, cost of living, inequality inincome distribution savings, investments.

While these factors influence businesses, businesses should try to take advantage of the opportunities and face threats which will arise from that environment.

Social and cultural environment

Beliefs, social ethics etc. that individuals possess are included in social and cultural environment.

examples :

Beliefs of individuals

Values of individuals

Customs

Wishes

Religious beliefs

While these factors impact on businesses, business activities should be carried out adhering to these factors.

Technological Environment

Trends in communication technology and the changes that have happened in agricultural, industrial and medical sector belong to technological environment.

examples :

New technical inventions

Rapid change in technology

Changes in communication technology

Expiry of products

Business should try to get the use of opportunities and face threats which implies from the changes in technological environment.

Demographic Environment

The main factor that connect with businesses is population. That is, market is made up of persons.

examples -:

Size of the population

Growth rate of population

Gender

Age structure

Composition of ethnicity

Level of education

Composition of family

Household patterns

Business should try to make use of opportunities and avoid threats.

Natural Environment

Today, there is a global awareness on the damages caused to natural resources. Business activities in many countries have polluted air, water and land. Rules and regulations have been imposed to conduct business activities in order to protect the natural environment. Changes in natural environment will impact on businesses.

example -:

Finding new natural resources

Changes in weather and climate

Location of the land

Natural disasters

A businessman should try to make use of opportunities and face threats that imply in natural
environment.

Global Environment

There are greater opportunities to exchange goods and services from the time of globalisation.

The culture of individuals has changed as well. As a result, different kinds of goods and services have entered the world market. Tough competition can also be seen.

example :

Trade agreements are signed

Trade blocs being created

Formation of world organization

Creating rules and regulations internationally

A businessman should try to make use of opportunities and face threats that imply in

<u>Global environment.</u>

The impacts of macro environmental forces on the business can be explained through the following examples.

o Under the demographic environment, the demand for goods and services is increased because of the increase in population which will create opportunities to businesses.

o In the same way, decrease in population will decrease the demand which will create threats to businesses.

o Under economic environment, a decrease in interest rate results in increase in borrowing loans which will create opportunities to businesses. Similarly, increase in interest rate limits the borrowing of loans and businesses have to face threats.

o Under the political and legal environment, imposing favourable rules and regulations for businessmen will create business opportunities and imposing unfavourable rules and regulations will cause businesses to face threats.

Most of the time macro environmental forces create opportunities and threats to businesses through influencing task environmental forces.

For example :

o Increase in price level of goods and services will cause the increase in price of goods and services supplied by suppliers. Similarly increase in salary level will increase the income of customers, (consumers) who is a force in task environment, which will increase the demand for goods and services.

The following examples clarify that there are interconnections among macro environmental forces.

o Gem mines belong to natural environment. But to make it a business activity, one has to take legal approval.

o When commercial banks install ATM machines for the convenience of customers, they should get the approval from the central bank.

2. Businesses social responsibilities and business ethics

Social responsibility is to perform business activities in an unbiased way to all the stakeholders. Different definitions for the concept of business social responsibilities have been presented.

"Business social responsibility is the continuous commitment by the business to act ethically and contribute to the economic development while improving the quality of life of the workforce and their families as well as of the local community and society at large."

- World business council for sustainable development -

"Business social responsibility is about how companies manage the business processes to produce an overall positive impact on society."

- Mallen Baker -

"Business social responsibility is to create maximum value for shareholders while performing justly to all interested parties such as consumers, employees, society, government and environment"

- Narayan Moorthy -

"Business social responsibility is about accepting personal responsibility for the actions and its impact on society"

- USA -

"Business social responsibility is about business giving back to the society."

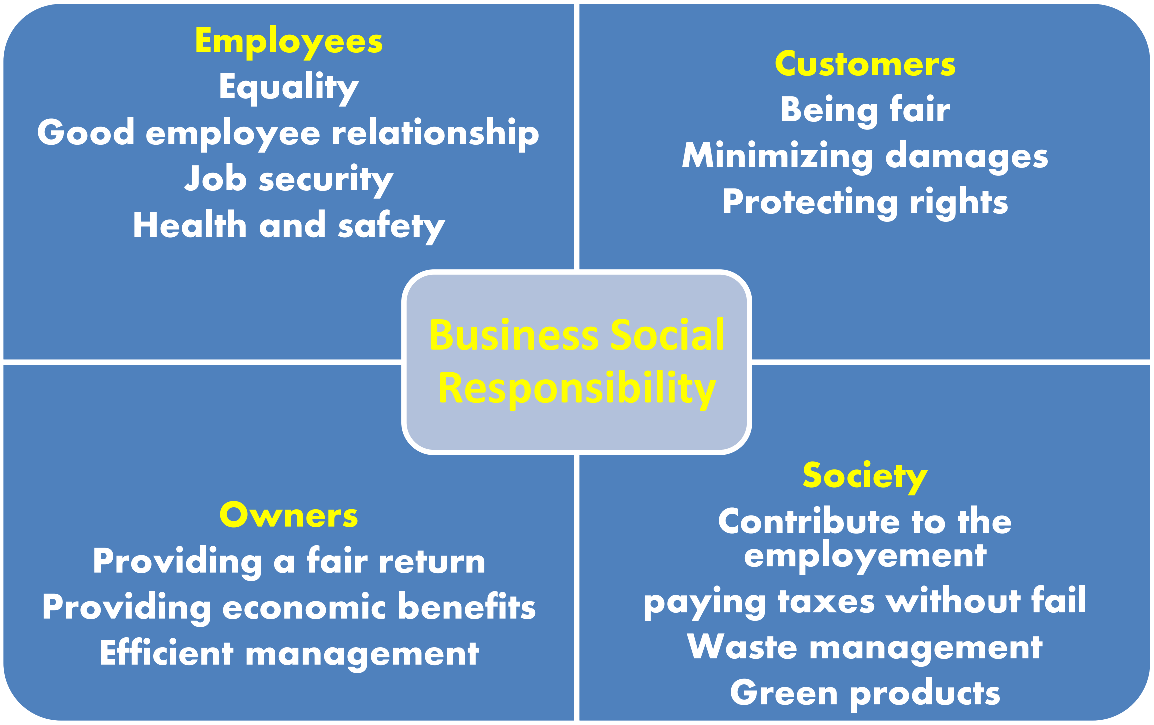
- The philippines-

A great awareness has to be developed at present about the necessity of fulfilling business social responsibilities. There are some developing forces that will have an impact on the stakeholders and the society in general.

- Business competition
- Globalization
- Electronic business
- Environmental pollution

There are some main parties to whom the business has to fufill its social responsibility.

- Customer
- Employees
- Owners
- Society



Business should take steps to meet the expectations of all the stakeholders when fulfilling the social responsibility.

Various benefits that can be obtained by fulfilling social responsibilities

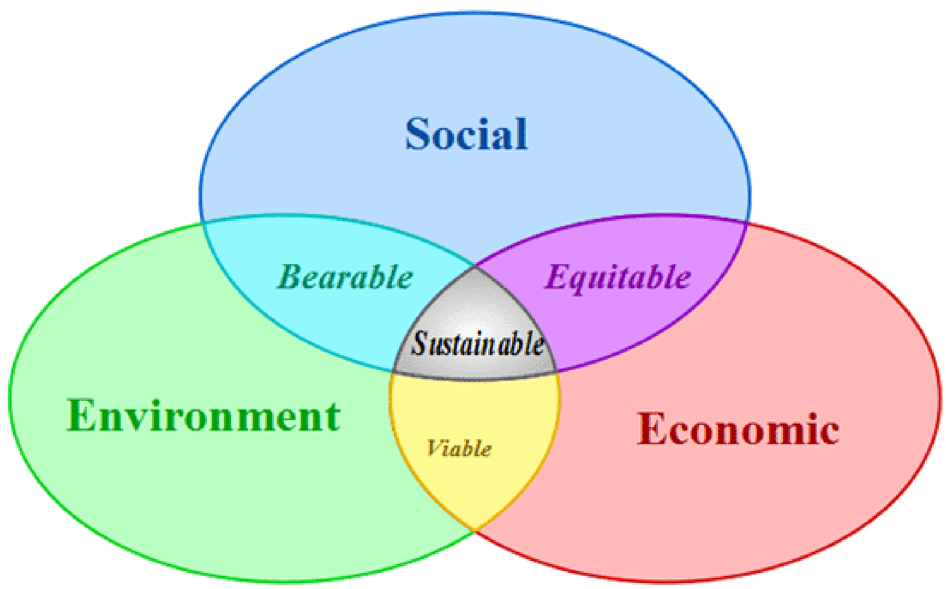
1. Ensure the existence of business.
2. Develop business goodwill / image.
3. Ensure business trust
4. Satisfy customers
5. Achieve the business objectives.

"Sustainable development is development which meets, the needs of the present, without compromising the ability of future generations to meet their own needs."

- **World commission on environment and development -**

Sustainable development is built up of three pillars that are equally important.

- Economic sustainable development
- Environment sustainable protection
- Social sustainable development



Economic sustainable development

Traditionally economic development was considered as the progress in GDP. It is expected here to improve human welfare by enhancing the quality of life, and reducing the consumption of resources. It is important here to empower people to have a better standard of living while earning wealth in engaging in economic activities and providing the present and future generations with prosperity and protection by confirming a high standard of life style and eradication of poverty of the people worldwide. A competitive market is important for this and it is expected to reach an economic sustainable development by producing eco friendly products that are affordable.

Environment sustainable protection

There are limited resources in the world for us. Every human being who lives on earth needs clean air, water, suitable habitat to live in as well as fertile land to produce adequate food. It is expected to satisfy the basic human needs such as air, water, food and shelter through environment sustainable protection by the quality presence, maintenance and protection of the basic human needs. In sustainable environment protection, human activities for the protection of global environment and for the future generations are expected while considering on how to do effective changes without destroying the natural environment. Adverse effects that have risen such as global warming, destruction of forestry, excessive fishing in oceans should be focused here. To satisfy human needs, natural resources should be extracted from environment. Environment sustainability can be protected through consuming resources, which cannot be replaced, at a lower speed rather than the speed they take to replace themselves naturally.

Social sustainable development

To ensure a sustainable future, needs and wants of people could be satisfied equally/ fairly. In other words, while human needs and wants can be fulfilled at a high standard, there shouldn't be corruption or violation of others' rights to do so. To ensure this position in social sustainable development, it emphasizes on giving equality, social capital, social integrity, commitment of community and development of human rights, social responsibility, social justice to everyone.It is expected in social sustainable development to have human development by satisfying human needs while not violating the needs of future generations. The way that businesses can contribute to sustainable development

While selecting strategies and activities by a business to fulfill needs and wants of a business itself and its stakeholders, it should develop and protect natural and human resources for future needs. Then that becomes a sustainable use of a business.

To make sustainable development a reality, cannot be done only by one business working for it alone, rather consumers including total world - economic community should actively contribute for that.

Contribution of businesses for economic sustainability

There are some facts that a business should concentrate on working towards economic sustainability.

- Economic development and stability
- Efficiency (Use of resources)
- Competition
- Production and consumption
- Employment
- International trade.

There are some steps that can be taken by a business to ensure economic sustainability

1. Job designing
2. Empowering skills
3. Efficient use of resources
4. Efficient usage of capital
5. Risk management
6. Empower economic development
7. Growth in benefits of stakeholders
8. Investment for national economic growth.
9. Introducing innovation
10. Developing technology
11. Contributing to the development of business infrastructure.
12. Employee welfare
13. Improving exchange and transaction process.
14. Encouraging production process.

Contribution of businesses for environment sustainability

There are some facts that should specially be focused on by businesses when achieving environment sustainability.

- Consumption of resources.
- Raw materials and waste management.
- Risk management
- Protection of natural and cultural heritages.

• There are some activities that can be done by a business to ensure environment sustainability

1. Buying eco friendly products.
2. Engage in activities by retaining resources such as raw material, energy, water in the
3. production process.
4. Putting into practice concepts such as 3R, 4R, 5R in waste management.
5. Use of eco friendly transport modes.
6. Use of dangerous substances in a safe manner.
7. Minimizing the pollution of water, air and soil
8. Taking action to protect bio diversity.
9. Acting in accordance with environment rules and regulations.
10. Working together with government and non government firms for environment
11. protection/ eco friendly activities.
12. Usage of eco friendly powers such as solar power.

Contribution of businesses for social and cultural sustainability

There are some facts that a business should focus on to ensure social and cultural sustainability.

- Enhance the standard of living of people
- Provide equal opportunities to people.
- Create social integrity
- Encourage international participation.
- Maintain human capital

- Protect local traditions and customs
- Protect cultural environment.
- Take action to minimize poverty (people in need)
- Employee relationships.

There are some steps that can be taken by a business to ensure social and cultural sustainability

1. Respect for human diversity
2. Contribute to the protection of human rights.
3. Act with equity and provide equal opportunities.
4. Contribute to the essential facilities such as education, health and transportation
5. Contribute to the social assurance activities,
6. Contribute to respect and protect cultural diversity
7. Contribute to protect law and peace.

Concepts that businesses use for sustainable development at present

4R concept for sustainability

Accumulating an unbearable amount of waste for a day in production and consumption activities has become a global problem. Therefore, concentration is focused on to it globally to achieves sustainable development through 4R concept in : production consumption waste management. 4R is,

1. **Recycle**
2. **Reuse**
3. **Reduce**
4. **Replace**

Recycle

Waste is separated here to form a material to produce another product. Here the physical state of substance is changed. Recycling can be done in two ways to have two outcomes.

1. Materials with lower value are transformed into products, with higher value (upcycle) eg : Producing paper from hay.

2. Products with higher value is transformed into materials with lower value (low cycle) eg : Making irons by crushing vehicles that are discarded (in Japan).

Reuse

Using products that can be used over and over in production and consumption activities is known as re use. eg : Using lunch boxes (Can be used over and over) instead of lunch sheets.

Reduce

This means the reduction of waste that is released to the environment. This can be done easily by reducing the discarding amount used at consumption or production. The contribution to sustainable development can also be done by eliminating the use, by avoiding the use, or by not using the harmful products at all.

eg : Not using non degradable polythene for packing Not bottling drinking water in plastic bottles,

Replace

Among the natural resources that are used in production, the replacement of resources that are replaceable is known as replace.

eg : Start a reforestation project by a firm that uses timber as its a raw material Farming fishery resources by a business that engages in fishing industry

Adverse effects of business activities

1. Import low quality products expecting more profits.

2. Mislead customers at high competition
3. Unbiased employee welfare.
4. Conducts business activities by wasting natural resources.
5. Release waste and pollute environment.
6. Create advertisements that don't suit our society and culture.
7. Designing cloth which will not suit our society and culture

Business ethics

Business ethics means to act favorably to all the interested parties acknowledging the good and bad.

It is important for businesses to follow business ethics.

eg :

- By supplying quality goods and services, fairness can be fulfilled, thereby increasing their trust on business.
- By following ethics related to accounting, financial irregularities and misconduct can be avoided by ensuring trust.
- By following ethics related to the rights and responsibilities of both employers and employees, unfairness by caste, social status, religion or gender can be avoided, thereby leading to a better human resource management.

Factors to be considered when forming a code of ethics

- Business
- Customers
- Employees
- Competition
- Socio culture
- Organizational culture

- Practicalness

Factor	Details
Business	What is the nature of business ? Does it produce goods or services? Is it a small scale or a large scale business?
Customers	Their demand patterns, communication, religious and social cultural factors
Employee	Which level employee, their environment, their needs and wants etc should be considered.
Competitors	Are there competitors? what are the ethics they follow
Socio - culture	Rooted cultural values Norms of ethical groups and their sub cultures.
Organizational culture :	Customs and practices, values, habits, attitudes of the business
Practicalness :	It should be considered, if ethical code of system can practically be Implemented when formulating it.

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When the code of ethics of a business is written it is known as ethical code of system/ code of ethics.

3. Businesses having relationship with the government

The government

The government consists of followings

- Central government
- Provincial council
- Local authorities (Urban councils, Town councils, Municipal councils)

<u>The ways that the government's influence occurs on businesses in Sri Lanka</u>

Government influence	**Central government**	**Provincial councils**	**Local authorities**
• By providing infrastructure	Providing electricity	Maintenance of roads	Removing of waste
• By being a competitor	Implementing government sector tv channels	Conducting businesses competitively with private sector in each provincial council.	Building up markets and renting them equally as the private sector
• By being a customer	Buying paddy, buying various office equipment, selling through Lak Sathosa.	Providing and receiving defense service	Maintaining cemeteries

• By forming policies	Implementing monetary and fiscal policy	Implementing business names charter	Implementing environmental policies
• By imposing rules and regulations	Consumer affairs authority act, standards act	Imposing rules and regulations for private buses	Passing the plans for buildings and imposing rules and regulations.
• By being a tax collector	Collecting tax through Inland revenue department	– Collecting tax through provincial revenue	Collecting rates

The importance of assistance and guidance that businesses receive from the government

1. Being forward to register businesses
2. The goodwill of the business is being improved
3. Contributing to the development of the country
4. Receiving the acceptance of the government and public

A government works to achieve the following economic goals.

1. Economic growth and development
2. Full employment
3. Fair income distribution
4. Economic Stability
5. Favorable international trade

1. **Economic growth and development**

While economic development takes place through the continuous growth of the production process, in addition to that the long term growth of human and social indices is known as development.

2. **Full employment**

Not only everyone who wishes to, provide their labor has been occupied in a service, but also a situation where all the resources have been occupied in effective production activities in an economy.

3. **Fair income distribution**

Distributing of total production of a country equally among all the people in that country

4. **Economic Stability**

The ability of an economy to endure nationally an internationally without a crisis is known as economic stability.

<u>Economic stability consists of two parts.</u>

1. Internal price stability

2. External price stability

While controlling inflation, stabilizing price level, controlling the interest rate are done through internal price stability, Stability of foreign exchange rate is done through external price stability.

5. **Favorable international trade**

Protecting the state of balance of payment through conducting foreign trade activities satisfactorily is expected through this.

To achieve the economic goals of the government, businesses contribute in various ways.

1. Payment of taxes
2. Use of indigenous resources
3. Following policies that the government implements
4. Following the rules and regulations
5. Contribution to the employment
6. Minimize damage to the environment

1. **Payment of taxes**

Paying taxes, that should be paid to the government, without evading by oneself on earned profit and income.

2. **Use of indigenous resources**

Using indigenous resources for production as much as possible

3. **Following policies that the government implements**

Implementing and following the fiscal and monetary policies that have been implemented by the government, in the correct way.

4. Following the rules and regulations

Contributing to build up a favorable business environment by following rules and regulations imposed for businesses in the exact way.

5. Contribution to the employment

Using of human and all the other resources efficiently when conducting business activities effectively

6. Minimize damage to the environment

Conducting eco-friendly business activities by all the businesses

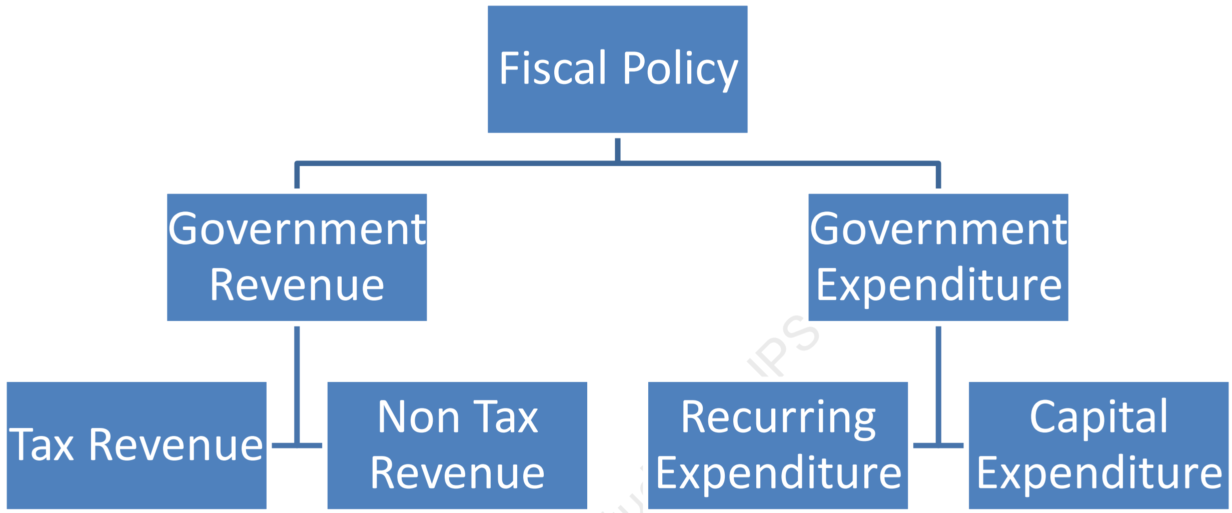
Government objectives	Business sector contribution towards them
• Economic growth and development • Full employment • Fair income distribution • Economic Stability • Favorable international trade	• Payment of taxes • Use of indigenous resources • Following policies that the government implements • Following the rules and regulations • Contribution to the employment • Minimize damage to the environment

It is important to have a mutual relationship among the government and businesses. Businesses are motivated when essential facilities are rendered by the government. In the same way, through the development of businesses the goals of the government will be fulfilled. Also, because of the development of businesses the government can receive a tax income. This income can be used for the development of infrastructure and other functions. Therefore it is important to build up a mutual relationship among the government and businesses.

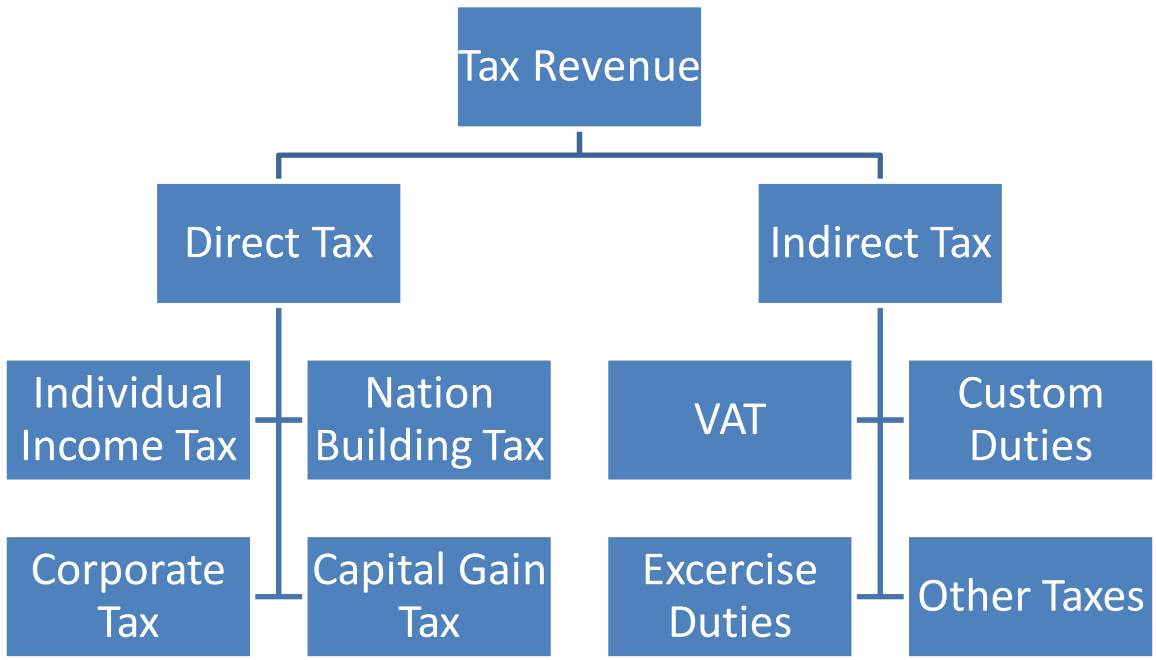
Fiscal policy

The functions done by the government related to its revenue and expenditure is known as Fiscal policy. The goals of the Fiscal policy are to protect the macroeconomic stability. The revenue of an economy received from tax and non-tax within a financial year is known as government revenue. The total expenditure done within a year for recurrent and capital expenditure to fulfil the economic goals of a government is known as government expenditure. The budget proposal of a government reflects its Fiscal policy.

Fiscal policy can be classified as follows.



Government revenue



Tax is a must payment imposed on a person or an institute by a government or an authorized institute of a government.

Tax income can be classified as direct tax and indirect tax.

Tax that is charged on income or assets of business and has to be paid by relevant party itself is direct tax.

1. Income tax
2. Corporation tax
3. Payee Tax
4. Capital gain tax

Tax that is charged on goods and services and can be transferred to another party is indirect tax.

1. Value added tax: The tax that is imposed on the added value of goods and services.

   (Tax on added value on wholesale and retail sale, tax on added value on exports)

2. Excise duties: The tax that is imposed on some products produced within the country.

   (Tax on liquor products Tax on tobacco products)

3. Customs duties: The tax charged by the customs department on importing products from foreign countries. (Tax on imported motor vehicles)
4. Other taxes: The taxes charged from other parties apart from above taxes.

   (Development tax of Barbour and airport, levy of cess, telecommunication tax)

Non tax revenue

1. Profits and dividends
2. Charges and fees
3. Interest income
4. Other (Lottery)

Government expenditure can be classified as follows.

Recurrent expenditure: Expenditures that are incurred again and again within a year to maintain continuous government services. These are known as current expenditure as well.

Examples : Salaries and wages, payment of interest

Capital expenditure: Expenditure that are incurred for long term investment by the government.

Examples : Construction of main roads, Construction of bridges

(The composition of income and expenditure of a government may change based on the budget proposals)

Categorize income and expenditure of the government by referring to a recent year central bank report

While government imposes different taxes at different times, it also cancels different taxes. The income that is received from taxes is spent on different projects.

Examples: Construction of roads, Construction and development of airport, development of harbor.

The impact on businesses from a government fiscal policy

1. While imposing customs duties for imported goods, imports become limited and inland production can be improved/ inland industries can be protected.
2. By imposing taxes on inland products the prices of goods and services may be increased.
3. Since a government spends on infrastructure facilities, business activities are made simple.

Monetary policy

The policy that a government follows, to control the money supply of a country is monetary policy. The central bank of Sri Lanka executes monetary policy on behalf of the government. The main aim of the government monetary policy is to maintain the stability of the price of a national economy. Otherwise it is to control the inflation. Here, it is expected to maintain the stability of the price level for a long period of time. Under the monetary policy there are some instruments used to control money supply.

1. Interest rate
2. Open market operations (OMO)
3. Changing statuary reserves requirements (SRR)
4. Imposing credit limits
5. Changing the discount rate
6. Imposition of qualitative credit limits.

1. Interest rate

The main instrument, that a government uses, to control the money supply is interest rate. The central bank identifies this also as standing facility rate. The standing facility rate is of three main parts.

a. Standing deposit facility rate (SDFR)
b. Standing lending facility rate (SLFR)
c. Bank interest rate

a. Standing deposit facility rate

This is the interest rate paid when commercial banks and primary dealers invest their surplus funds in government securities.

b. Standing lending facility rate

This is the interest rate charged by the central bank when commercial banks and primary dealers obtain funds by pledging government securities that they hold in central bank.

c. Bank interest rate

This is the interest rate that the central bank, as a final loan provider, charges from commercial banks who have obtained loans for liquidity issues.

2. **Changing statuary reserves requirements (SRR)**

The amount of deposit that commercial banks must maintain in central bank relevant to the deposits they hold in them is the statutory reserve. Changes in this percentage result in increase and decrease in money supply. A reduction in the reserve requirements will result in an increase in money supply whereas an increment in the reserve requirement will result in a decrease in money supply

3. **Open market operations (OMO)**

The buying and selling of government securities by central bank is known as open market operations. When the central bank buys securities the money supply increases and when it sells them the money supply decreases.

4. **Changing the discount rate**

The money supply of an economy can be controlled through changing the discount rate when the parties, who have bought government securities, discount them at commercial banks before their maturity date.

5. **Imposing credit limits.**

Imposing of credit limits occurs in two ways:

- Imposition of quantitative credit limits

Controlling of total credit by increasing and decreasing bank credits which impact on total money supply is known as imposition of quantitative credit limits.

Examples -: Setting minimum ratios between assets and capital of commercial banks. Setting the minimum money to be deposited when issuing Letters of credit.

- Imposition of qualitative credit limits.

Controlling the direction of flowing loans in an economy, in other words, motivating the flow of loans for the sections which are aimed to be motivated and limiting the flow of loans for the sections which are aimed to be demotivated is known as imposition of qualitative credit limits

Recommending fields for providing loans Such as for agriculture industry, Entrepreneurs etc. Showing the ways to be followed for inactive loans.

It is a direct strategy of the central bank of Sri Lanka to control the loans as a monetary policy instrument. Here, the central bank of Sri Lanka has received the authority to quantitatively and qualitatively control the sectors such as the amount of loans that the bank system provides, the repayment time of loans and the securities that should be obtained for loans. When coltrolling the amount of loans, it is done by imposing limits for a maximum amount of loans, that a certain bank has been provided on a certain day or time, or by fixing growth rate of loans.

More over, to encourage the amount of loans provided for prior field of the economy, fixing the least amount of loans for different production sectors or fixing maximum amount of loans on consumption loans, to limit the growth of consumption loans at an inflation period, can be done.

The imposition of orders, such as the maximum time for repayment of loans and the nature or the value of securities that banks should obtain for those loans, can be done as well. At an inflationary situation, orders such as to discourage the consumption loans, to fix the shortest duration for repayment of the consumptional loans and to keep securities with higher values can be done to control the inflation.

When implementing monetary policy it impacts on businesses in various forms.

Examples :- When the interest rate of central bank is reduced the interest rate of commercial banks is also reduced. Then the amount of loans that investors borrow increases, resulting increase in investment. Through which the production increases and the prices of goods and services decrease. Since the price of goods and services decreases, sales of businesses increase resulting in increase in profit.

When the interest rate of central bank is increased the interest rate of commercial banks is also increased. Then the amount of loans that investors borrow also decreases, resulting decrease in investment. It results in decrease in production and increase in the price of goods and services. Since the price of goods and services increase, sales decrease resulting in decrease in profits

Consumer protection

Consumer protection is the legal cover that ensures customer receives sufficient satisfaction for the money he pays.

Reasons for the need for consumer protection now than before

1. The abundance of goods and services in the market.
2. Since the increased competition, there is more space for malpractices in the market.
3. Market has become complex with the free trade.
4. The deterioration of society and culture that can happen with globalization.
5. The need for making consumers aware to avoid environmental pollution

Advantages for consumers and businessmen from consumer protection

<u>For the Consumer</u>

1. Getting an opportunity to consume products that give a value to the paid money.
2. Being protected from trade malpractices.
3. Since consuming quality goods and services, consumer's health and protection is ensured.
4. Because of the consumer protection, legal cover can be obtained at the time necessary.
5. A suitable environment is raised for consumer to live.

<u>For the Businessman</u>

1. Having supplied quality products, the consumer's trust can be gained.
2. The profit is increased through the increase turnover of businessman.
3. Reduction of waste since they are produced according to standards.
4. Being created a favorable business environment since there is no unfavorable anti-competitive practices.

Few internationally accepted consumer rights are implemented at present.

John F. Kennedy, a former president of USA, has decelerated the following consumer rights.

1. Right to safety
2. Right to be informed
3. Right to choose
4. Right to be heard

Apart from the above, **consumer international** has declared the following consumer rights.

5. Right to satisfaction of basic needs
6. Right to redress
7. Right to consumer education
8. Right to live in a healthy environment

The eight consumer rights mentioned above are the internationally accepted consumer rights.

Just like consumer rights, there are consumer responsibilities also pertaining to consumers.

1. Critical awareness
2. Active participation
3. Social concern
4. Environmental awareness
5. Cooperation

A mindful consumer attempts to select products with a value for the money he pays and products with higher standards. Similarly, he takes steps to inform the relevant authorities when the consumer rights are broken and business malpractices are taken place. Moreover he behaves as a rational consumer by protecting the environment he lives in, being concerned about society and by acting cooperatively.

Government institution that work for consumer protection in Sri Lanka

1. Consumer Affairs Authority
2. Sri Lanka standards institution
3. Measurement Units, standards and services department
4. Central Environmental Authority
5. Office of the Divisional Medical Officer of Health
6. District Secretariat Office

Consumer Affairs Authority is established to fulfill the following goals.

1. To protect consumers against the selling of goods or the providing of services which are hazardous to the life and property of consumers.
2. To protect consumers against unfair trade practices and guarantee that consumer interest shall be given due consideration.
3. To ensure that, whenever possible, consumers have adequate access to goods and services at competitive prices.

4. To seek redress against unfair trade practices, restricted trade practices or any other formof exploitation of consumers by traders.

Functions of Consumer Affairs Authority

- Control or eliminate restrictive trade agreements among enterpreneurs.
- Eliminate abuse of dominant position with regard to domestic trade or economic development within the market or in a substantial part of the market.
- Eliminate any restraint of competition adversely affecting domestic or international trade or economic development.
- Investigate or inquire into anti-competitive practices and abuse of a dominant position.
- Maintain and promote effective competition between persons supplying goods and services
- Promote and protect the rights and relationships of consumers with respect to the price, availability and quality of goods and services.

Consumer Affairs Authority is important for businesses in the following manner.

- Since production, supply, storing, transporting and selling take place according to the standards that are imposed by the authority, profit increases while the waste is being reduced.
- Consumer trust is gained for focusing on protecting consumer rights.
- The image of the institute grows since business malpractices are avoided.
- Minimization of legal situations that businessman has to face.
- Minimization of unwanted competition among businesses.
- Ability to compete fairly since no monopoly conditions are created.

The aims of Sri Lanka standard institution.

- Prepare standards on the national and international basis in relation to production process and processing.
- Promote standardization and quality control in industry and commerce and establish and maintain laboratories and library services for that purpose.
- Examine whether the locally produced and imported goods comply with the standards.

- Provide research facilities for the acvities of standardization and quality control.
- Implement a certification marks scheme.
- Provide for co-operation with international standards institutions and other similar organizations.
- Promote standardization and quality control activities through education, guidance and other means

Functions of Sri Lanka standards institution.

1. Formulates standards
2. Implements standards
   - Voluntarily
   - SLS certification system
   - Pre export investigation
   - Import investigation
   - Examination of sea food prepared for export
3. Implementing ISO standards
4. Organizing training programmes on standardization and quality control
5. Promoting standardization and quality control activities
6. Numeration services for equipment
7. Popularizing consumer education
8. Library services, sale of local and foreign standards and information services
9. Implementing international standards on quality system

Sri Lanka standards institution is important for businesses in the following manner.

- Ability to face competition through selling products with SLS mark.
- Ability to acquire advantages by overtaking production companies that do not possess SLS mark.

- Ability to minimize customer complaints.
- Ability to expand market share since government come forward to buy products that are with SLS mark.
- Ability to succeed in international trade through obtaining ISO certification.
- The acceptable level of product increases since consumer needs and legal need are included in standards.
- Increasing the productivity while minimizing the waste.
- ·By improving the image of company, the morale of employees also improves.

4 Need of establishing and maintaining different types of business organizations formally.

Organization

A social unit made up with a group of individuals joining together having a common goal is known as an organization.

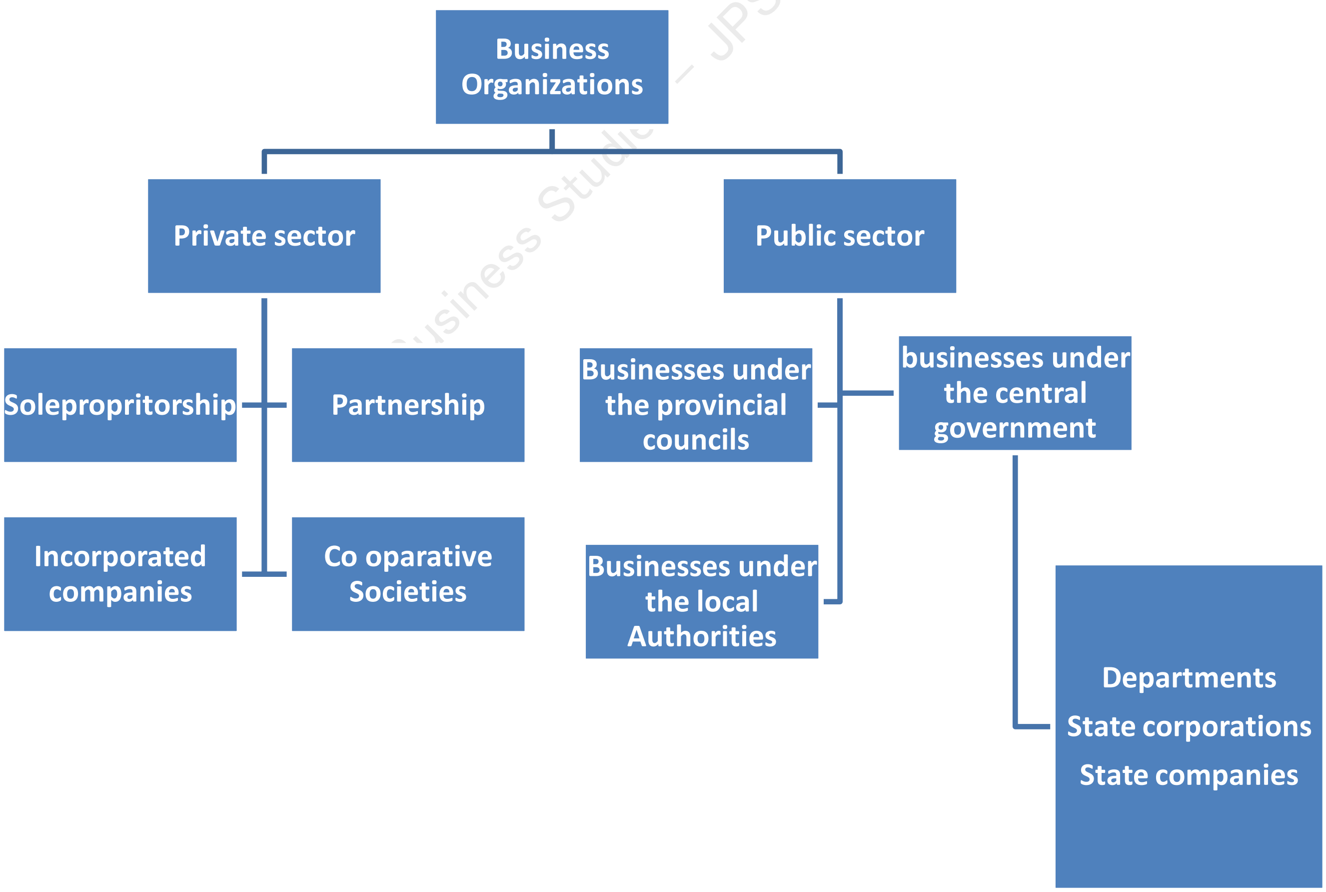
Examples : School, temple, church, shop

Some common characteristics of a formal organization are

- Has a goal
- Involves individuals
- Has an organizational structure.

Business organizations are the enterprises engaged in production, distribution and selling of goods and services with the objective of earning profits or achieving social well being. Business organizations can be categorised as private sector businesses and public sector businesses based on the ownership.

Classification of businesses based on ownership



Sole proprietorship

Where the ownership of the business is held by a single individual it is called a sole proprietorship,

Examples: Chanuli Super centre ,Dasatha Book shop, Imalka saloon

The characteristics of a sole proprietorship

1. The owner provides the capital required on his own,
2. All managerial decisions are made by the owner
3. The unlimited liability of the owner
4. Not a legal entity.
5. Registration is not compulsory.
6. Enjoy profits and losses alone.
7. Faces risks alone
8. No continuity
9. Accounting is not compulsory.
10. Not liable for the taxes in the name of the business.

Some advantages and disadvantages of a sole proprietorship business

Advantages	Disadvantages
• Easy to initiate • All the profits belong to the owner. • Ability of independent decision making. • Fewer rules and regulations are applicable. • The ability of keeping the business information confidentially. • Termination of the business is convenient. • Possibility of maintaining direct relations with the customers	• The unlimited liability of the owner. • The problems/ difficulties will increase when needed the additional capital. • Possibility of the decisions, made by the owner himself being unsuccessful. • Not a legal entity • No continuity • Management being inconvenient with the expansion of the business. • Bearing losses alone.

• Control is convenient.	

If a sole proprietorship business is carried on in a name other than the full name of the owner, then it's compulsory to register the business name in the provincial council's provincial Business name registrar under the business name ordinance No 6 of 1918. On the practical note this registration can be performed at the relevant divisional secretariat office of the area. If the registration is done, the following procedure should be followed.

Obtaining an application form for the registration of business names of a sole

Proprietorship business from the divisional secretariat office of the area

- Obtaining report for the registration of a business name from the relevant Grama Niladari.
- Submission of the completed registration form, the report obtained from the Grama Niladari and relevant registration fee to the divisional secretary.
- Issue the certificate of registration of the business name by the divisional secretary after having examined the relevant documents above.

Partnership

In the Partnership Ordinance 1890 the partnership is defined as follows:

The relationship between the individuals who carry out a business with a profit motive is partnership. According to the above definition the following characteristics must be there in a partnership,

- Profit generating objectives.
- The existence of the business activity
- Existence of individuals
- Having a mutual relationship.

Example – Gonewardana & Sons, Don Carolis & Sons

Characteristics of the partnerships

1. There should be a minimum of two partners and a maximum of twenty partners.
2. There must be an agreement between the partners
3. Having an agreement on profit sharing.
4. Every partner is an agent and a head of himself and other partners.
5. The existence of any kind of a business affair.

Partnership agreement is the terms and conditions agreed on by the partners at the beginning of a partnership regarding its initiation and succession. A partnership agreement can be oral or written or implied. The written agreement between the partners is known as the partnership deed or the partnership constitution.

A partnership deed is important for the following reasons.

1. The ability to solve any disagreement or conflict which may arise among the partners.
2. Convenience in carrying out the partnership activities.
3. A partnership deed will include the following information.
4. Basic information about the business. E.g.: Business name, Names and addresses of the partners, nature of the business, time duration of the business.
5. Details about the investment of capital
6. Information on sharing profits and losses.
7. The objective of the partnership
8. Limitations on partners' drawings
9. Information about interest on capital and drawings.
10. Conditions on the dissolution of the partnership.
11. Conditions on the investment of the additional capital
12. The action to be taken in the event of an admission of a partner, retirement of an existing partner or the death of a partner.

When there is no written agreement or when there is a dispute which is not related to disputes stated in the agreement, it is necessary to follow Section 24 of the Partnership Ordinance 1890 which becomes effective,

The points are included in Section 24 of the Partnership Ordinance.

1. While the profits and losses are shared equally among the partners, in the event of the dissolution of the partnership, the partners have a right to get an equal share of the capital.
2. Any expenditure incurred by the partner personally on behalf of the partnership, it has to be reimbursed to the partner.
3. Partners are entitled for a 5% interest for the money invested in addition to the agreed capital.
4. No partner is entitled to an interest on capital
5. Every partner has the right to participate in the management of the business.
6. No partner has the right to receive a salary for the services rendered to the partnership.
7. A new partner cannot be admitted to the partnership without the consent of the existing partners.
8. The regular disagreement which occurs in the partnership can be solved by taking the decisions made by the majority. Anything which changes the íture of the partnership can be put into effect only if there is an agreement among all the partners.
9. While the books of accounts of the partnership should be kept at the head office, a partner has the right to inspect them at any time and take copies of the accounts,

The registration process of the partnership is similar to the registration process of the sole proprietorship.

Several advantages and limitations of partnership business are given below:

Advantages	Limitations
• Easy to commence. • Can be dissolved easily • Possibility of gathering immense capital • Ability to make use of multiple skills and talents of people. • The liabilities will be distributed among many partners.	• The liabilities of the partners are unlimited. • The disagreement and disputes between the partners can adversely affect the business. • There is no continuity. • All the partners are liable to the conduct of a single partner.

• Through collective liability, enthusiasm and efficiency will be enhanced.	

A sole proprietorship and a partnership can be compared as follows:

Criteria	Sole proprietorship	Partnership
No of members	Single individual	Minimum 2 maximum 20
Capital investment	Invest by the owner alone	Invested by the partner
Management	Is performed by the owner	Performed by the partners
Liability	Solely responsible	Collectively responsible
Profits/losses	Enjoys alone	Shared collectively
Decision making	Independently	Collective decision making
Dissolution of business	There no dissolution termination of the business can be done as desired	Dissolution may be voluntary or as a result of a court order.

Incorporated companies

A collection of individuals incorporated under the companies act No. 7 of 2007 can be introduced as a company.E.g. – Aralia company Ltd, Pratheeba Company (Pvt.) Ltd

Characteristics of incorporated companies.

1. Being an independent entity incorporated under the Company Act.
2. Becoming an independent legal entity that is distinct from its shareholders.
3. Continuous existence or ability to have perpetual succession.

4. The liability of members / shareholders being limited.
5. Accumulation of the capital, through share issues.
6. Ability of transferring shares.
7. The management being carried out by the board of directors.

Some advantages and limitations of limited companies are given below:

Advantages	Limitations
1. The possibility of beginning large scale businesses. 2. Ability of recruiting a smart management team to carry out its business affairs. 3. Ability to attract new investors because of the limited liability of shareholders. 4. The death or resignation of a shareholder does not have any adverse effect on the business. 5. Ability to assemble qualified and skillful human resources. 6. The business having a legality. 7. Ability to raise a large amount of capital	1. Legal impacts being strict. 2. Procedure of establishment being complicated and expensive. 3. Since the voting power is based on the number of shares held by each shareholder 4. (1 vote for 1 share), minority shareholders are not being strong enough in influencing management decisions. 5. Profit is subjected to double taxation because tax is levied on the profit of the company as well as on dividends paid to the shareholders. 6. Even the procedure of dissolution being complicated.

The incorporation of a company should take place according to the companies act of a particular country, while in Srilanka the incorporation of a company is exercised in accordance with company act No.7 of 2007 and registered with company registrar at the department of company registrar.

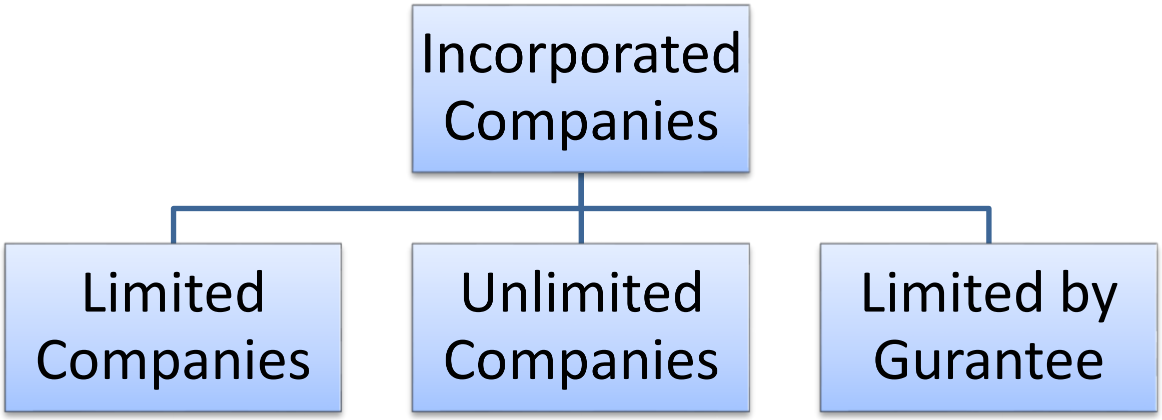
The following procedure should be followed when incorporating a company.

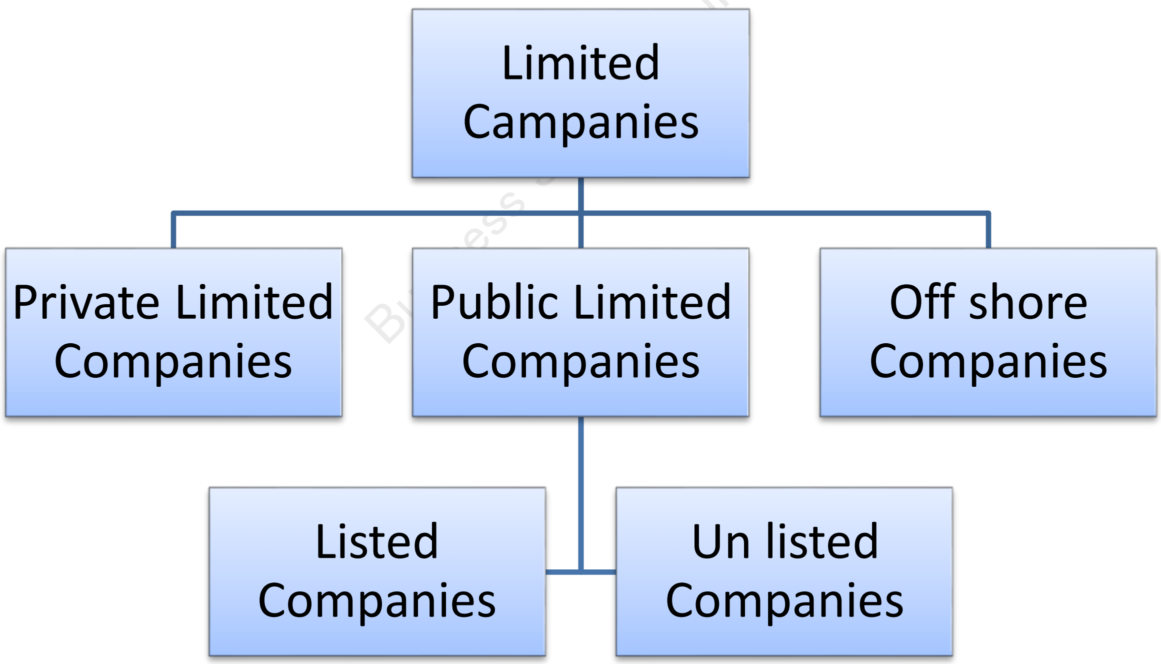
- Register the name of the company.
  When it is confirmed that the proposed name of the company is not similar or identical as the name of an existing company, the following documents have to be submitted for the registration.
- Application for the registration of the company.
- The articles of association
- The statement containing the consent of each founder to act as the director
- The statement containing the consent of the founder secretary to act in that company

The most important document to be submitted to the registrar of companies is the Articles of Association which contains the objectives of company, the rights and responsibilities of the shareholders, information about the management and administration etc.

After the Registrar of Companies has satisfied himself that all documents are in order and that the relevant fees have been paid, he will issue the **Certificate of Incorporation.**

As per the **Companies Act No.7 of 2007,** the following types of companies can be incorporated.





Limited Companies

A company where the liability of the shareholders is limited to the amount paid or agreed to pay, in respect of the shares purchased, can be introduced as a limited company. There are three types of limited companies.

Private limited company

Companies that do not have the authority of issuing shares or other securities to the public and having a minimum of 1 and a maximum of 50 shareholders are known as private limited companies.

Characteristics of a private limited company

1. The minimum number of shareholders is one and the maximum is 50. This maximum does not include the shareholding staff members of the company.

2. The minimum number of directors is 1.

3. The shares of the company cannot be sold in public.

4. Without assuring the credit rating of the company, the profits can be distributed as per the desire of all shareholders.

Some examples of private limited companies

- Central depository (Private) Ltd
- Lanka clear (PVT) Ltd
- Srilanka Electricity (Private) Co.Ltd

Public limited companies

Companies having the authority of issuing shares and debentures to the public and having a minimum of one share holder with a maximum of unlimited shareholders can be identified as public limited companies.

Characteristics of Public limited companies

1. Having a minimum of 1 shareholder and maximum of unlimited number of shareholders.

2. The minimum number of directors being two.

3. The ability of issuing shares or the securities in public.

4. Insolvency test is required prior to the distribution of dividends to the shareholders.

Listed public companies (Quoted companies)

A company listed in the Colombo Stock Exchange is known as the ‘Quoted (listed) companies’

E.g.; DFCC bank PLC, Ceylinco PLC

Unlisted companies (unquoted companies)

Companies that are not listed out in the Colombo Stock Exchange are known as unlisted companies.

E.g.; Ceylon Biscuit company LTD, Maliban Biscuit Co. LTD

Off shore companies

A company incorporated in a particular country but carrying on its business activities outside the country is known as offshore companies. These companies also should be registered in accordance with the Companies Act of the country where it is carrying out its activities.

E.g. : For a Sri Lankan company to be able to carry on its business activities in Singapore it is necessary to be registered in Singapore as well.

Ex:-

- Sunrecko Marine Company
- Asia Pacific Company

Unlimited companies

The liability of shareholders is unlimited companies where according to the articles of association, the liability of the shareholders not being limited to the value of the shares that have been issued, are known as unlimited companies.

Companies limited by Guarantee

Where an issue of shares does not take place, but the liability of the members is limited to a guaranteed amount as stated in the Articles of Association, such companies are known as companies limited by guarantee.

Examples; Colombo Stock Exchange (GTE) Ltd.

A company limited by Guarantee has the following characteristics:

1. An issue of shares not being practised.
2. The extent of the contribution of each member in the event of winding up the company has to be specified in the Articles of Association.
3. Minimum number of members being two and maximum not being limited.
4. Sharing profits not being performed in such a company,
5. Establishment of focusing on the public purposes.

Overseas company

A company that has been established in Sri Lanka but has been incorporated outside Srilanka is known as a foreign company.

A foreign company that has been established in Sri Lanka must, submit details about itself within a period of a month to the Registrar of Companies in Sri Lanka. The Registrar of companies will inspect the documents submitted and if satisfied, during the course of one month its name will be added to the list of foreign companies as a registered foreign company.

Example : Hongkong and Shanghai Banking Corporation (HSBC)

The following criteria are followed when different types of companies are compared.

- No. of members
- Liabilities
- The raising of capital
- Administration and management

Based on the criteria , a private limited company and a public limited company can be compared as follows :

Criteria	Private limited companies	Public limited companies
No of members	Minimum 1 maximum 50	Minimum1 maximum unlimited
Liabilities	Limited to the value of shares purchased	Limited to the value of shares purchased
The rising of capital	Shares/ securities cannot be issued to general public	Shares / securities can be issued to general public
Administration and management	Carried out by board of directors minimum 1 director	Carried out by a board of directors. Minimum 2 directors

Co-operative business sector

The international co-operative alliance has defined the co-operative sector business as follows :

“A co-operative is an autonomous association of people united voluntarily in their common economic, social and cultural needs and aspirations through a jointly owned and democratically controlled enterprise.”

Examples : Maharagama Multi-purpose Co-operative society Ltd

Cloth- weavers’ co-operative society Ltd

Fisheries co-operative society Ltd

Characteristics of a co-operative business

1. An independent business organization
2. Consist of a group of individuals who have got together voluntarily.
3. Collective ownership of its members.
4. Having common needs and expectations.
5. Democratically controlled business.
6. Value of a share is unchanged (Value of a share is Rs.100)

7. Having one vote for each member (one man one vote)
8. Any surplus that is earned will be distributed to the members according to the value of the transaction each member has performed with the co-operative society.
9. Profit making is not the initial objective.

The 1995 General Assembly of the International Co-operative Alliance held in Manchester has stated its co-operative policies as follows:

- Voluntary and open membership
- Democratic control of members
- Member economic participation
- Autonomy and independence
- Co-operative education, training and provision of information.
- Co-operation among co-operatives regionally, Nationally and internationally
- Concern for the community.

Some benefits and limitations of a co-operative societies

Benefits	Limitations
• 10 persons can get together to initiate a co-operative society conveniently at a low investment. • The existence of democratic control • The provision of goods and service at a reasonable price. • The ability to engage in different types of business activities in different fields. • Engaging in activities with mutual co-operation	• Limited means of fund raising • Restricted to the co-operative policies. • Co-operative outlets are opened for only a limited time in a day. • Public sector interference • Credit sales don't take place. • Most probably the board of management will be inefficient, since they are elected by voting.

• Any surplus gained by the society is distributed among the members. (contributor reimbursement)	

The procedure to be followed when registering a co-operative society

This is registered under the co-operative development commissioner of the co-operative development department in accordance with the co-operatives societies act No 05 of 1972 under the co-operative development commissioner of the relevant provincial council.

In order to get a co-operative society registered, any 10 people who are above 18 may apply to the co-operative development commissioner together with the followings.

- Application form
- 2 copies of the interim constitution
- Feasibility report of the proposed economic activity
- The minutes of the general meeting at which the resolution for the registering of the co-operative society was approved.
- A certificate ascertaining that all those who have signed the application form, have paid their membership fee and that this fees is under the custody of the working committee.
- A route map giving directions to the address of the society.

When the co-operative development commissioner has inspected and confirmed that the documentation supporting the application for the registration is in order in accordance with the co-operative act, he will issue a certificate of registration.

Some trends in the co-operative businesses

1. The commencement of modified self-service outlets. Example : Co-op city, co-op super
2. Approaching new business fields
3. Examples: Co-operative insurance, fuel filling stations etc.

4. Usage of electronic payment system.
5. Opening of mobile shopping centers.

Some proposals for the development of co-operative businesses

- Extending the business hours.
- Directing attention to the possibility of selling on credit terms.
- Selecting experienced effective and skilful persons to the management board.
- Usage of various promotional strategies
- Expansion of self service outlets.
- Arranging showrooms for consumer attraction
- Increasing the benefits of the members
- Launching a member promotion propaganda
- Application of modern technology in provision of consumer service.

Franchises

The types of business organizations which is conducted by a particular business firm involved in provision with a certain goods or service and in order to assign the authority of selling that good or the service to another business organization in a specific trade zone are knows as franchises.

Two main parties are involved in a franchise business.

Franchisor – This is the franchising company that permits the franchisee company to market the products under its brand name.

Franchisee – This is the organization that receives permission from the franchisor company.

Franchisor	Franchisee
Mc Donald	Abans restaurants (pvt) Ltd
KFC	Cargills Ceylon Limited
Pizza Hut	Gamma Pizza Craft Lanka (Pvt)Ltd

The agreement between the franchisor and the franchisee at the commencement of the franchise business is called the "Franchise Agreement"

Under this agreement while the franchisee receives permission to use the franchisor's trade name, logo and brand, the agreement includes the rules and regulations of the franchisor, the services provided by the franchisor and the financial conditions, the initial payment the franchisee should make and details of the monthly royalty payments.

As per the agreement the franchisor provides the following support services to the franchisee.

- Granting permission to use the trade name.
- Provide management training
- Provide marketing assistance
- Provide financial assistance.
- Helping in the completion of the layout of the business.
- Supplying the products or goods and equipment.
- Provide the required technical knowledge.

According to the agreement the franchisee should fulfil the following.

1. Agree to act in accordance with the conditions of the franchisor
2. Making capital investment
3. To make purchase of goods only from the franchisor or his authorized suppliers.
4. To make the payments as agreed with the franchisor.

Franchised businesses can be categorized as follows:

- Product franchise
- Manufacturing franchises.
- Business format franchises.

Product Franchises

Franchises such that the franchisee receives authorization to purchase goods from the franchisor with the brand name and to resale them are known as product franchises

Examples : Outlets selling petroleum products (IOC Fuel stations)

Manufacturing Franchises

There are franchises where the franchisee receives the authority of manufacturing and distributing the products under the franchisor's brand name.

Examples : An organisation that bottles and distributes soft drinks like Coca cola, Pepsi cola etc.

Business Format Franchises

This is where the franchisee receives permission to carry on the business following the franchisor's procedure and with his brand name. Examples : Outlets similar to McDonalds, KFC, Pizza Hut where meals are manufactured and supplied.

Some benefits of the franchise business method

To the franchisor	To the franchisee
➢ Ability to expand his business without further investment ➢ Ability to share the costs of advertising with the franchisee ➢ Ability to obtain returns from the investment of the franchisee ➢ Ability to obtain spontaneous returns with the franchisee's efficiency ➢ Being nourished by the franchisee.	➢ Ability to acquire a large market niche from the goodwill of the franchisor ➢ Declining the tendency to be unsuccessful ➢ Publicity being convenient because of a popular trade name ➢ Ability to get management training from the franchisor ➢ Possibility of receiving financial support from the franchisor

	➢ Ability of obtaining raw materials at a minimum price.

Some limitations of franchise businesses

To the franchisor	To the franchisee
➢ The franchisee's un-success may affect adversely on profits ➢ Any unfavorable activities of the franchisee can have an adverse effect on the goodwill of the franchisor ➢ Retention of most of the profits earned, by the franchisee himself.	➢ Because the franchisor retains his control, the franchisee does not get perfect autonomy ➢ Need of incurring a greater cost to receive a franchise ➢ The possibility of profitability being an uncertainty ➢ A certain level of risks is involved because of the dependence on the goodwill of the franchisor. ➢ The franchisee facing severe inconvenience because of the need of adherence to the franchise agreement.

Business combinations

It is a trend in the business field to act as business combinations.

Joining up of two or more businesses and engaging in business activities can be introduced as 'Business Combinations'.

Business combinations can happen in two ways

- Mergers (Amalgamation)
- Acquisitions

Mergers

In a merger two or more companies are converted into a single business entity.

This may be practiced as one company purchasing the assets and liabilities of another company or where the companies will terminate all their business activities and then join up to form a new company.

Acquisitions

In an acquisition, one company purchases a majority of the ordinary share capital of the other company. The company purchasing the shares gains the power of control.

Business combinations through amalgamation or acquisition can take place in three ways.

Horizontal combinations

Vertical combinations

Conglomerate combinations

Horizontal combinations

The combination of two or more businesses engaged in similar business activities is known as a horizontal combination.

Examples :

- The combination of two footwear manufacturing companies
- MBSL Savings Bank Ltd, Merchant Bank of Sri Lanka PLC and MBSL
- Financial Services Ltd combined on 2015.01.01 to form the Merchant Bank of Sri Lanka and Finance PLC.
- Microsoft-a software development organization purchasing the Computer software unit of Nokia.
- Opening Fair First Insurance company Ltd on 28th February 2017 amalgamating with the Union Assurance General company Ltd and Asian Alliance General company Ltd.
- DFCC bank and DFCC development bank combined to form DFCC bank PLC.

Vertical combinations

Joining together with business units at different stages in the production/marketing process in the same industry is known as vertical combinations.

Examples :

- A shoe manufacturing company combining with a leather manufacturing company and a shoe marketing company.

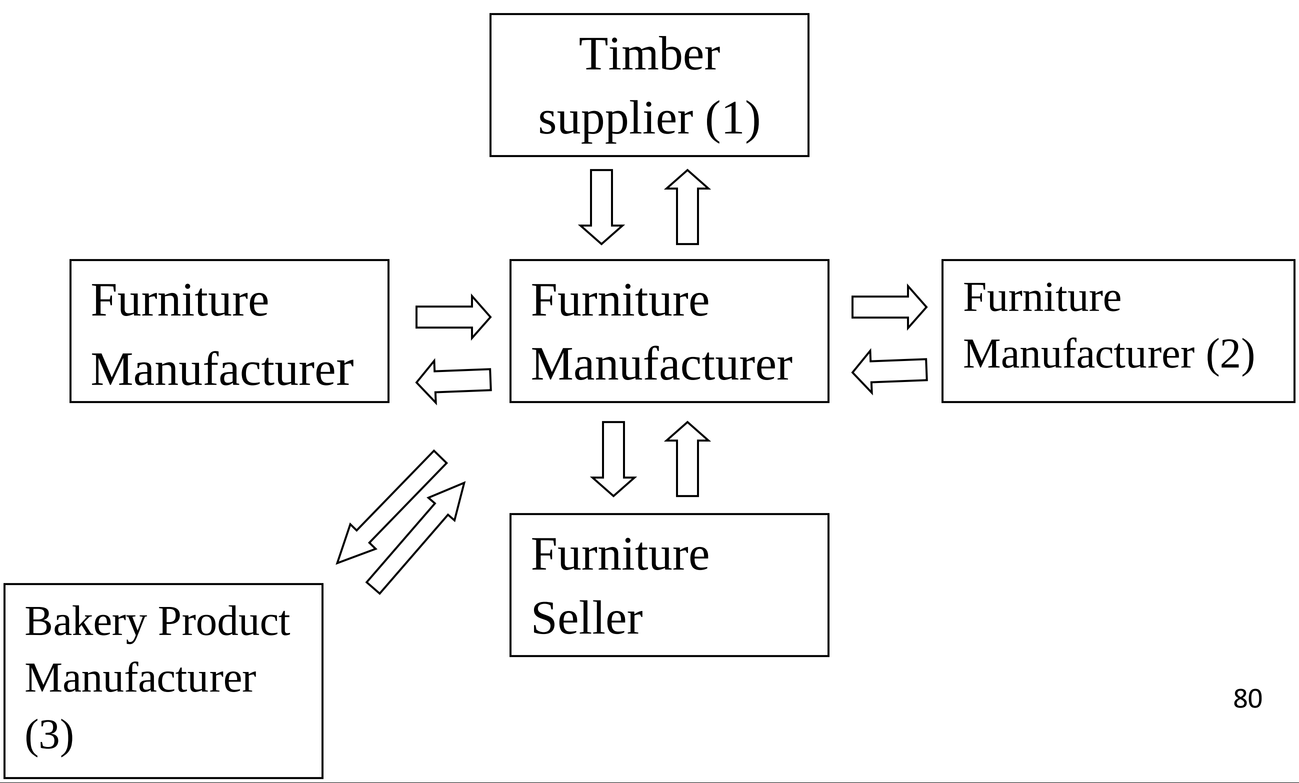
Conglomerate combination

Joining together with businesses that are not in the same industry is known as a Conglomerate combination.

Example :

- A shoe manufacturing company combination with a biscuit manufacturing company.

The methods of business combinations can be depicted in the following manner.



(1) Vertical combination

(2) Horizontal combination

(3) Conglomerate combination

Public sector

All the business entities carried out and controlled by the state or a local authority are known as state sector or public sector enterprises. Businesses are carried out by the public sector for the benefit of the general public.

The state sector involves in business activities for the following reasons:

1. To control the pricing levels in the market that makes it impossible for the private sector to gain unreasonable profits.
2. To prevent the emergence of monopolistic firms.
3. To engage in business fields that is required for national defense.
4. To provide the essential goods and services to the general public at reasonable prices.
5. To minimize the wastage of natural resources through proper governmental planning and control of business.
6. To maintain non-profit making large scale projects that the private sector does not wish to engage in.

Different categories of state sector business organizations are:

- State corporations / statutory boards
- Government departments

- State companies
- Businesses under the Provincial Councils and local authorities.

The following characteristics are obvious in a State Corporation,

- Being established under a special or General Act
- Having a legality
- Full ownership or major ownership being with the government possession
- Being controlled by a Board of Directors appointed by the government.
- Capital being generated through government loans, reinvestment of dividends and contribution of the general public to debt capital.
- Having the main objectives of providing with an efficient service to the public at a minimum price.
- Examples
- Sri Lanka Transport Board
- Mahaweli Authority of Srilanka
- Sri Lanka Rupavahini Corporation
- Sri Lanka Petroleum Corporation

State corporations are nominated by various names such as Board, Authority, Institution, Council, Bureau etc.

The following characteristics can be observed in a Government department.

- Being subject to direct government control through a ministry.
- All activities are subject to the establishment code, financial regulations and government policies.
- Most probably they are organizations involved in the provision of services.
- Even though a department does not have a legality it is necessary to present itself to the law in the official name of the head of the department.

- Allocation of necessary funds through the annual budget of the government.

Examples:

- Education Department,
- Agriculture Department,
- Health Department,
- Department of Government railways.

The following characteristics can be observed in a state company.

- Being a company incorporated under the Companies Act as a public limited company.
- Excess 51% of the total capital belongs to the state organisations.

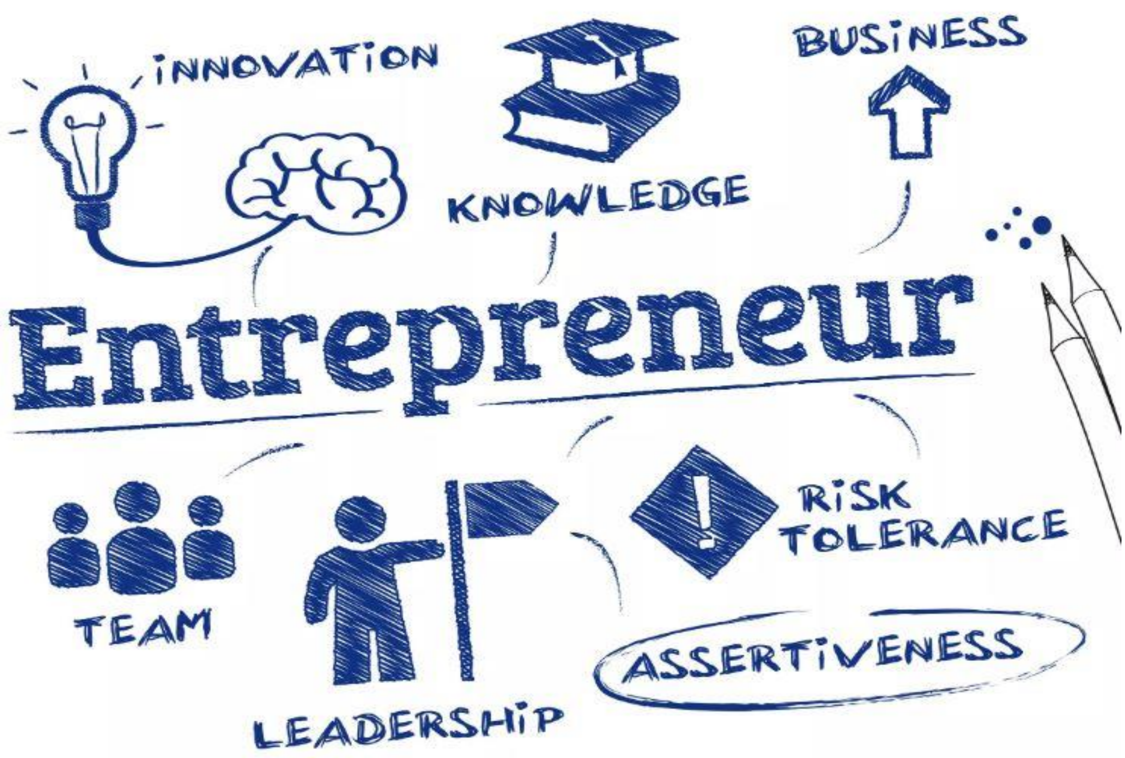
Examples:

- Srilanka Insurance Company Ltd
- Lanka Phosphate Company Ltd
- Srilanka Telecom
- Litro Gas Ltd
- State Trading Company

Companies under the control of a local authority should have the following characteristics.

- Maintained under the provincial council, urban councils and Pradeseya sabha.
- Ownership being with the respective local government authority
- Necessary funds being allocated through the respective local authority or the central government
- Being administrated by the local government authority

5. Contribution of entrepreneurship in social, economic and personal development



5.1 importance and the benefits of entrepreneurship

Definitions that have been presented for entrepreneur and entrepreneurship

An entrepreneur can simply be identified as, one who generates innovations by extracting environmental opportunities creatively while taking risks.

There is no accepted definition to introduce who an entrepreneur is. The following definition can be given regarding an entrepreneur.

"The person who sees changes in the market place as opportunities for businesses is an entrepreneur. His armory is product innovation."

Peter F. Drucker

"An entrepreneur is someone who perceives an opportunity and creates an organization to pursue it. The entrepreneurial process involves all the functions, activities and actions associated with perceiving opportunities and creating organizations to pursue them"

- **William .D. Bygrave -**

"An entrepreneur is the person who destroys the existing economic order by introducing new products and services, by creating new forms of organization, or by exploiting new raw materials"

- **Joseph Schumpeter -**

"Entrepreneurship is the bridge between capital and labour"

- **Oxford dictionary -**

"Entrepreneurship is facing up to uncertainties"

- **Richard Nantinut-**

"Entrepreneurship is the ability to launch a new company and carry it on successfully"

- **International labour Organization -**

According to the above definitions , an interpretation about entrepreneurship can be built up as follows

"Entrepreneurship is the process of extracting the environmental opportunities creatively and generating innovation while bearing risks.

Or

"Entrepreneurship is the process of producing innovations by managing risks and identifying business opportunities to satisfy human needs and wants"

The importance of Entrepreneurship

1. There is an enormous need for entrepreneurs who can find innovations and react to changes in the world that changes rapidly.
2. There is a need for generating innovations to survive in the competitive business world.
3. There is a need for entrepreneurs in every organization, since entrepreneurs are the ones who can give leadership to the changing world.
4. There is a need for generating innovations to uplift the living standards through satisfying human needs and wants at high level.
5. The need for developing business functions in confrontation with the technology that changes day by day
6. The ability to create employments through starting new businesses

The relationship between entrepreneurship and businesses

The process of producing innovations and managing risks to satisfy identified human needs and wants is known as entrepreneurship. To satisfy human needs and wants, the production of goods and services, distribution and all the other related activities in it, can be explained widely as businesses. Accordingly, the production of goods and services and all other related services in it are engaged by businesses as well as through entrepreneurship. But, identifying business opportunities, risk management and innovations are done by entrepreneurship when compared with businesses.

Accordingly it is clear that all enterprises are businesses whereas all businesses are not enterprises. Similarly, the end result of entrepreneurship is known as business.

The benefits of entrepreneurship

Through entrepreneurship, individual, institutional, social and economic benefits can be gained.

Examples:

<u>Individual benefits</u>

- Having opportunities to make use of individual abilities.
- Being able to get higher benefits through higher commitments.
- Creating social status and acceptance.
- Having a self-satisfaction.
- Obtaining personal and financial gains.

<u>Institutional benefits</u>

- Being easy to face competition
- Expansion of business activities.
- Continuous development.
- Expansion of market shares
- Becoming the expertise in the industry.

<u>Social and economic benefits</u>

- Creation of new employment opportunities.
- Creation of income opportunities.
- Arising of opportunities to consume new goods and services.
- Developing the standard of living.
- Using regional resources for production
- Development of new markets.

Entrepreneurship and economic development

The relationship between entrepreneurship and businesses can be clarified by the following points:

1. Increase in national production as innovations are generated through entrepreneurship.
2. Increase in the level of employment through producing new employment opportunities.
3. Economic development becomes faster through producing new employment opportunities.

Increase in production → New employment opportunities → Increase in income level →Increase in purchasing power → Increase in demand for goods

- Increase in economic development through expansion of business activities and generating of new competitive markets.
- Increase in demand for regional resources that are being used.
- Creating an economic development as new businesses come to existence.

Trends in entrepreneurship

- Global Entrepreneurship
- Social Entrepreneurship
- Green Entrepreneurship
- Intra Entrepreneurship

Global Entrepreneurship

Engaging in trade globally is meant by this. In other words, no matter wherever in the world, with the use of technology, the ability to work beyond the borders through communication with any other country or countries or places in the world. Distribution of goods and services successfully from one place to all over the world to supply products for fulfilling identified consumer needs and wants of each country is harvesting the yield of entrepreneurship globally.

It is important here to have known about other cultures. It is important for this to maintain good relationships with other countries and nations. Opportunities can be generated by identifyingdifferences among nations and among cultures.

Social Entrepreneurship

This means to engage in innovations to solve social problems with the intention of social service. Benefits such as mental satisfaction, acceptance, praise, mutual help etc... are expected through social entrepreneurs. The aim of social entrepreneurship is to make the world a better place.

Green Entrepreneurship

This refers to the activities done with awareness of an entrepreneurial view to positively impact the natural environment with high risk for environmental and social problems or needs. Green entrepreneurs consider that protecting the environment is their core concept. They are very sensitive for environmental issues. They positively impact on natural environment through their business activities.

Intra Entrepreneurship

Creative people who are in different posts in organizations make changes in products and production methods. Top managers motivate those people to work creatively. This kind of entrepreneurship that introduces changes in an organization and implements them within an institute is known as intra entrepreneurship.

5.2 Entrepreneurial process

All the functions that are used to do the activities such as identifying business opportunities and formulating an organization to use them is known as entrepreneurial process.

The steps of entrepreneurial process

- Discovery
- Concept development and preparing business plan.
- Resourcing
- Actualization
- Harvesting

Discovery

At the first step of the entrepreneurial process, an entrepreneur generates ideas, identifies opportunities through environmental study and studies the market place as well.

Concept development and preparing business plan.

In this step a business plan is prepared. It presents a detailed program which clarifies the business idea.

Resourcing

In this step, the entrepreneur identifies financial, human and physical resources that are needed to start the business and he tries to acquire them.

Actualization

In this step the entrepreneur carries out the operational activities and he uses resources to fulfill the aims of business.

Harvesting

This is the step in which the entrepreneur takes decisions regarding the future growth and development of the business.

5.3 The ability to act as an entrepreneur by developing the entrepreneurial characteristics and competencies.

The difference between an entrepreneur and a businessman

Entrepreneur	Businessmen
Commences a business with his own idea or new concept.	Commences a business with an existing idea or concept.
The business opponent of the entrepreneur is himself	Has other business opponents.
The entrepreneur prepares himself for new business opportunities.	The businessman is always engaged in his business activities
Is an innovator	Is traditionist
Faces risk	Engages in activities protectively
When problems arises, faces them courageously to overcome them	Gets discouraged when faced with difficulties

Some entrepreneurial characteristics

Willingness to take risks

He likes to face risks rather than avoid risks. But facing any risk is not meant by this.

Creativity

This refers to the ability to see, think and take actions differently.

Commitment

This refers to work with great enthusiasm until he achieves his objectives.

Self-confidence

While an entrepreneur has to face several problems, he has the belief that he can successfully overcome them.

Self-reliant

He has a desire to put his own ideas into effect rather than being dependant on others' ideas.

Some entrepreneurial skills are given below:

Leadership skills.

He is the leader of his business. He leads the followers formally by encouraging them to get the work done.

Interpersonal skills

Maintains a favorable relationship with both internal and external parties.

Communication skills

Information is a resource for him. Maintains a proper co-ordination to achieve objectives.

Basic management skills

Possesses basic management skills such as planning, organising, leading and controlling.

Given below are the ways of developing entrepreneurial characteristics and skills.

Self-evaluation

First one should identify entrepreneurial competencies specifically and then he should conduct a self-evaluation such as, to what extent those competencies are present in him? what competencies he doesn't have, and what competencies are there within him that should further be developed.

Training

Participating in various training programs to develop his entrepreneurial competencies.

Education

An education on entrepreneurship apart from general education.

Profiting from experiences

The experience gained through working in other enterprises or by working as an entrepreneur himself.

6. Appreciates the contribution of small & medium scale businesses in economic development.

6.1 Importance of small & medium scale businesses.

Various criteria are used both nationally and internationally to define the small & medium scale industries. These criteria are based on quantitative and qualitative factors.

The factors that can be numerically quantitative are known as quantitative factors.

Examples: The amount of invested capital, number of persons employed, the energy that is in use, annual turnover.

The factors that cannot be measured numerically are known as qualitative factors.

Examples: Types of business organizations, the technology in use, the nature of the market.

Based on the above criteria, various definitions have been proposed both nationally and internationally.

"A small business is one that is independently owned and independently operated but not gained any authority in the field."

(Small scale Business Administration" institute in the United States of America)

Various criteria used by some organizations, in order to define a small scale business.

Institution	Criteria

Industrial Development Board	Where the invested capital does not exceed Rs.4million.
Institute of Industrial Technology	Where the invested capital does not exceed Rs.4million.
Small Industries Department	Where the invested capital does not exceed Rs.4million.
Ministry of Industrial Development	Where the invested capital does not exceed Rs.20million
Department of Census and Statistics	Business with less than 25 employees
Ministry of Rural Industries Development	Business with less than 50 permanent employees.
Central Bank of Sri Lanka	Businesses using less than 50Kw amperes electricity

Characteristics of Small & Medium scale businesses are given below:

1. Having a small market
2. Invested capital being low
3. A fewer number of staff being employed.
4. Family labor being used most probably.
5. Decision making is based solely on information available personally
6. The management of the business being independent, most probably owner is the chief manager.
7. The business mainly being targeted to the local markets. (However, there are some small & medium scale businesses that supply goods to overseas markets as well)
8. Compared to large scale businesses they have less financial bonds
9. Modern technology being used.

Small & medium scale businesses contribute to the economic development of a country in various ways.

- As these businesses are labor intensive more employment opportunities are available.
- Contribution in growth of the national product
- Utilizing inland resources
- Minimizing the problems of urbanization as a result of the regional development.
- The inequality in income distribution being minimized.
- The supplement of raw materials and finished goods required for the large scale businesses.
- Engaging in business affairs which are not performed by large scale businesses.

The factors should be considered, when small & medium scale businesses are begun and continued.

- Studying and evaluation of one's own abilities and skills
- The market available for the production and the possibility of entering that market.
- Studying about the opening capital and working capital requirements
- Studying of the type of business organization.
- Type of Business organizations and existing rules and regulations.
- Existing competition.

There are several reasons that have an impact on the success or failure of small & medium scale businesses.

The reasons for the success of small & medium scale businesses:

1. Availability of sufficient infrastructure facilities
2. Incentives such as financial and tax relief.
3. Having an expanded market
4. Providing with various institutional and marketing facilities.
5. Having a sound management
6. The enthusiasm and commitment of the business men.

The reasons for the failure of small and medium scale businesses:

1. Financial problems
2. Inability to face the competition in the market
3. Weak points in management
4. Less entrepreneurial skills
5. Insufficient infrastructure facilities
6. Less awareness of modern technology and modern technology not being applied.

Reasons for the importance of entrepreneurship for the success of small & medium scale business

- The beginning of a business is risky and this can be minimized through the risk management abilities of the entrepreneurs.
- The business becomes successful mainly on the commitment and interest of the entrepreneur.
- The self-confidence and determination of the entrepreneur has a direct impact on the success of small and medium scale businesses.
- Similarly, businesses can be made successful by developing the entrepreneurial competencies of the entrepreneur.

6.2 The incentives that is available to make small and medium scale businesses successful.

The incentives given by the government to encourage small and medium scale businesses can be divided in to two.

1. Financial incentives
2. Non-financial incentives

Examples for the financial incentives

1. Short term , long term loans
2. Financial assistance
3. Tax concessions
4. Refinancing facilities.

Examples of non-financial incentives

1. Advisory services
2. Entrepreneur development programmers.
3. Research and technological services.
4. Provide infrastructure facilities.
5. Provide market facilities.
6. Offering awards and awards of excellence.

Organizations that provide incentives to small and medium scale businesses can be divided into two categories as

1. Government institutions
2. Other institutions

Examples for some of the government institutions that provide incentives to small and medium scale businesses

- Industrial development board
- Export development board
- Sri Lanka standards institution
- National development bank
- Industrial technology institution

Examples for other institutions that provide incentives to small and medium scale businesses

Sarvodaya

- JICA (Japanese International Co-operation Agency)
- Private organizations involved in preparing taxation
- Sanasa (Thrift and credit co-operative society)
- Private banks and financial institutions

The organizations that provide incentives to small and medium scale businesses and the incentives they provide

Organizations	Incentive provided
National Entrepreneur Development Authority	• Provide financial assistance • Conducting entrepreneur • development training workshops
Small and Medium scale entrepreneurship board	• Provide foreign market facilities
Industrial Development Board	• Advisory services • Provide technical knowledge • Infrastructure facilities
Export Development Board	• Marketing facilities • Advisory services
Sri Lanka Standards Institution	• Advisory services
National Development Bank	• Provide financial facilities
Industrial Technological Institute	• Provide technical knowledge • Provide advisory services
Sri Lanka Small and Medium scale Industrial Board	• Financial facilities • Offering excellence awards

Several projects that provide incentives for the success of small and medium scale business currently are given below:

Liya Isura

Interest free loan schemes without securities for women - micro entrepreneurs (Liya Isura) Introducing micro entrepreneur loan schemes without securities for women making available working capital requirements through the Regional Development Bank (CBSL)

Suwana

With the financial backing of the Japan Bank for International Co-operation (JBIC), the National Development Bank provides re-financing for the development of small industry entrepreneurs. This is known as SMILE (Small and Micro Industries Leader and Entrepreneur promotion projects). At present the 3rd stage of this project is in operation.

Shanya

This is a loan scheme that is being implemented with the financial patronage of the Asian Development Bank. The DFCC and other commercial banks participate in this scheme.

Sanasa Loan Project

This is a loan scheme that provides loan facilities to agrarian, livestock, small industry, trading and commercial activities. National Development Trust Fund and membership deposits are utilized for this purpose while the administration is exercised by the Sanasa Apex Development Society.

Co-operative Rural Bank Loans

Loans are furnished for Agrarian, fisheries, Livestock management, trading and commercial activities. National Development Trust Fund and membership deposits are utilized here. Administration support is extended by the multi-purpose Co-operative Society and Co-operative Development Department.

Samurdhi / Divineguma Development Loan Scheme

This scheme was initiated to provide loans and other services to the Samurdhi and Divineguma beneficiaries. The fund requirement for this scheme is made available from government grants and savings deposits of the membership.

Control of this scheme is exercised through the divineguma Development department. (Government has announced that Samurdi/ Divineguma banks work jointly with Regional Development Banks) (Ref. The CBSL report - 2014)

Agrarian Bank Pilot Project.

This is a project of the Agrarian Development Department under the purview of the Ministry of Agriculture Development and Agrarian services. Farmers are provided with short and long term loans for planting purposes. The Farmers Trust Fund established in Agriculture Department and membership deposits are utilized for this purpose.

7 Evaluates the contribution of money and financial institutions for the existence and growth of businesses.

7.1 The importance of using money to facilitate transactions

Money

Anything that is generally accepted in exchange of goods and services is considered as money. The requirement of money for exchange can be pointed out as follows.

- In the past the direct exchange of goods without the use of money was called 'barter system'
- Various difficulties were encountered in the barter system.
- Therefore, the need of a common medium of exchange that was acceptable to all was felt.
- That medium of exchange was known as money (currency).

Accordingly, the necessity of money in exchange is obvious.

The functions of money

- ❖ Being a medium of exchange
- ❖ Being a standard of value for measuring
- ❖ Acting as a store of value
- ❖ Acting as a deferred payment

Being a medium of exchange

Acting as the intermediary in the exchange of goods and services, or else the price of goods and services is paid in terms of currency

Example: The purchase of a mobile phone for Rs. 30,000.

Acting as the means of measurement in measuring the value

It is use of money for the measurement of the value or worth of goods and services. This is known as the price. Since this facilitates accounting it becomes a unit of account.

Example: Setting the price of a pair of shoes as Rs. 1999.90.

Acting as a store of value

Money can be stored; notes and coins can be used in the future by storing them without getting outdated or depreciated.

Example: Saving Rs. 10,000

Acting as a deferred payment medium.

An agreement can be made (signed) regarding a future payment currently. That means the possibility of purchasing goods and services at present, under the terms and conditions to settle the payment down on a particular future date determined.

Example: Buying a stock of goods in January 2017 for Rs. 5,000 agreeing to make the payment in March 2017.

Some characteristic of good money;

- Having a general recognition.
- Durability
- Difficulty in imitation
- Easy movability
- Easy identifiability/homogeneity
- Ability to divide into small units (divisibility)

Classification of Money

Currency

Notes and coins issued on the orders of the financial authority are known as currency. Currency is identified as valid money and it has 100% liquidity.

Examples: Coins and notes

Bank Money

The balances held in demand deposits or current accounts in commercial banks are known as bank money. The payments are made with bank money using cheques. Though this doesn't possess 100% liquidity as currency, it is advanced in liquidity than near money.

Example: Current account deposits in a commercial bank.

Near Money

Nevertheless of having 100% liquidity as currency these are the assets that function as a store (accumulation) of value and could be converted to cash easily.

Example: Time deposits and savings deposits owned by the public in commercial banks.

Treasury Bills

Commercial Papers

E-money

The money evolved as a result of information and digital technology which are used in payments of inland and international transactions.

Example: Debit Card, Credit Card, Pre-paid Card

Debit Card

The cards that can be used only by those who have money in the bank account are called debit cards and the paid amount is debited to the account through electronic media.

Credit Card

This is a special type of card that can be used to make payment for goods and services on credit terms and to take money from ATM's, nevertheless of having a bank account.

Pre-paid Card

These are the cards receivable through the payment of money in advance. The following services (facilities) are available to make these methods of card payment convenient.

1. Automatic Teller Machine (ATM)
2. Automatic Deposits Machine (ADM)
3. Cheques Deposits Machines (CDM)
4. Electronic Funds Transfer point of sales
5. Telebanking facilities
6. Internet banking (online banking)
7. Television banking

7.2 Financial system of Sri Lanka

The financial institutions in Sri Lanka are categorized as follows:

Banking Sector

- Central Bank of Sri Lanka
- Licensed commercial banks
- Licensed specialized banks

Other financial institutions that accept deposits

- Licensed finance companies
- Co-operative Rural Banks
- Thrift and credit co-operative societies

Specialized financial instructions

- Specialized financial leasing companies
- Primary dealers
- Share brokers
- Unit trust/ Unit trust management companies
- Market intermediaries
- Venture Capital companies

Contracted savings institutions

- Insurance companies
- Employee Provident Fund
- Employee Trust Fund
- Approved Pension and Provident Funds

- State service Provident Funds

(As per the Central Bank Annual Report 2015)

How financial institutions contribute in business activities

Central Bank of Sri Lanka

Central Bank of Sri Lanka, the main institution that performs its activities as an agent of the government, implementing the financial policies of the country. (The services of the Central Bank of Sri Lanka will be discussed in Competency Level 7.3)

Licensed Commercial Banks

These are the financial institutions that maintain current accounts and other savings accounts with the ability of creating money. There are many licensed commercial banks registered under the CBSL and Monetary Board out of which a few belong to the state sector the majority to the private sector.

Examples:

Government sector commercial banks – Bank of Ceylon / People's Bank

Private sector commercial banks – Sampath Bank

Commercial Bank PLC

Hatton National Bank

Seylan Bank

Licensed specialized banks

These are a special type of institutions that has procured a license from the Central Bank of Sri Lanka to undertake business activities as a specialized bank under the Bank Act. The specialty is that they are not authorized to operate current accounts. However, they are authorized to accept deposits for Savings Accounts and time deposits or term deposits.

Examples: National Savings Bank

Sri Lanka Savings

Regional Development Bank

State Mortgage and Investment Bank

How the licensed commercial banks contribute in business activities

- Accepting time and savings deposits
- Providing loan facilities to entrepreneurs involved in different fields
- Underwriting of company shares
- Providing leasing facilities
- Providing management advisory services

Licensed finance companies

These are a special type of public companies that has procured a license from the Central Bank of Sri Lanka under the Finance act with the purpose of accepting time deposits and providing with investment loan facilities based on those funds.

Examples: L.B. Finance PLC

Sinha Putra Finance PLC

The Finance Co. PLC

Singer Finance PLC

Activities of licensed finance companies

- Providing hire-purchase facilities
- Sale of land and property
- Finance leasing
- Providing short-term loans
- Investing in public state securities
- Accepting time deposits

Co-operative Rural Banks

This is an organization that provides loans to its members as one of its main activities and also accepts time and fixed deposits from members as well as non-members. This is the banking sector of multi-purpose co-operative societies.

Examples: Co-operative Rural Bank of Maharagama Multi-purpose Co-operative Society.

Activities of Co-operative Rural Banks

- Receiving deposits from members as well as non-members
- Pawning activities
- Maintenance of Savings and Fixed Deposit accounts
- Providing loan facilities to members for agriculture, manufacturing, and industrial and marketing activities.
- Popularizing the co-operative life-style among rural people.

Thrift and credit Transaction Co-operative Society (SANASA)

This is a special type of institution registered with the Co-operative Commissioner under the Co-operatives Act which provide with loan facilities only to members by utilizing the deposits obtained as savings and membership shares while aiming and having as its objectives, the encouragement of savings and the provision of loans to members

Examples: Nelumkulama Sanasa Society

Attanagalla Sanasa Society

- **SANASA societies perform the following activities**
- Operating marketing centers to market the productions of members.
- Marketing of equipment in the field of activity of the society at concessionary prices.

  Example: Fisheries Co-Operative Societies – Fishing gear

- Accepting deposits and providing loans to its members.

Specialized Leasing Companies

These are the companies registered with the Central Bank especially for leasing activities. Provision of finance facilities as per the requests of businessmen to enable the leasing of machinery and other assets required for their use is the main business activity of these finance companies. The main income of these companies is the rent collected through leasing these assets.

Examples: Assetline Leasing Company Ltd

LOLC Micro Credit Ltd

SMB Leasing PLC

Isuru Leasing Company Ltd

Benefits gained by businessmen from leasing companies

- The ability to use high valued assets without paying the full value up front.
- The lease rent paid in respect of a lease being free from income tax.

- Being able to overcome any losses and capital losses that result through obsolescence of machinery and other assets
- The ability of earning higher returns without making large investments.

Primary Dealers

The market where government securities are marketed for the first time earning money is the primary market. The firms that have been granted permission by the Central Bank of Sri Lanka to participate in the primary market are known as Primary Dealers.

The main responsibility of Primary Dealers is to participate in the primary auctions and secondary market dealing with Securities.

Examples: Capital Alliance Co.

Ceylinco Sriram Securities Co.

Bank of Ceylon

Sampath Securities Co.

Share Brokers

Organizations that act as mediators for buying and selling of shares debentures in incorporated companies is known as broker companies. It is necessary to obtain a license from the Securities and Exchange Commission to carry on business as a share broker.

Examples: Asha People’s Securities Co.

Asia Securities (Private) Co.

John Keels Share Broker (Private) Co.

J.B Securities (Private) Co.

Activities of share brokering companies

- Accepting buying and selling orders from investors.
- Opening of accounts in the Central Depository System on behalf of investors.
- Advising investors about making investments in shares and debentures.
- Assuring the highest returns to investors through market analysis and preparation of reports on surveys conducted the share market.
- Assist with the listing of companies.
- Assisting the public limited companies in generating of capital.

Unit Trust/ Unit Trust Management Companies

A Unit Trust is an investment fund that has been raised through the sale of units to investors. The funds thus collected are deposited in an investment portfolio by professional fund managers. The returns generated are distributed among the investors on the unit price of the

Unit Trust.

A unit Trust consists of three parties.

- Unit trustee
- Fund management company
- Unit holders or investors

The connection between these parties can be shown diagrammatically as follows.

Returns from investment in Unit Trusts

- Reducing the risk through diversification of investments
- Possibility of obtaining the services of professional managers for investment management.

Market Intermediaries

While Underwriters, Investment managers and Marginal suppliers are included in this, they act as mediators in the sale of financial instruments. For these services, the buyer and seller of the financial instrument is levied a service charge.

Underwriters

In the sale of securities to the public by a public limited company, the organization that contracts to pay and purchase any unsold securities within the given period, is known as the underwriter. Investment managers provide various services during the issue of securities to the public.

Some of these services are:

- Issuing of investment applications for the issue
- Accepting applications
- Allocation of securities to the investors
- Financial management about the issue
- Advertising activities

Marginal suppliers

Marginal suppliers are the organizations involved in debt collecting on behalf of the supplier and providing with factoring services. This is also known as debt factoring.

Venture Capital Companies

These are companies specialized in meeting the capital requirements of businesses of new entrepreneurs. They also provide funds for the commencement of new businesses, for the expansion of existing business, for business acquisitions and purchase of businesses etc. In addition, they also engage in underwriting, loan syndication etc.

Examples: Central Finance Venture Fund Ltd.

Lanka Ventures Ltd.

NDB Venture Investments (Pvt) Ltd.

Insurance Companies

Insurance companies are the institutions involved in raising funds through the issue of various insurance policies and performing financial intermediary services lending in the financial market and making investments.

Examples: Sri Lanka Insurance Corporation Ltd.

Ceylinco Insurance Co Ltd.

Janashakthi Insurance Co. Ltd

Provident and Pension Funds

There are pension funds and provident funds administrated by the state sector management and private sector management.

Examples:

Funds under state management

Employees Trust Fund – This is administered by the Employees Trust Fund Board coming under the purview of the Ministry of Policy Planning, Economic Affairs, Child, and Youth Cultural Affairs.

State Service Provident Fund- This fund is managed by the Pensions Department

Employees Provident Fund – (EPF) This is the largest pension fund for the private sector employees in Sri Lanka and is administered by the Labor Commissioner. The responsibility of management of this fund is with the Central Bank of Sri Lanka.

Funds managed by the private sector and approved pension and provident funds are administered under the purview of the Labour Department.

7.3 The role of the Central Bank of Sri Lanka.

The Central Bank of Sri Lanka which was established on 28th August 1950 under the Monetary Act No. 58 of 1949 is the principal institution that represents the state as its agent to implement the financial policies of the Sri Lankan government. Its founder Governor was Mr. John Exter.

Its organization of affairs is carried out by a monetary board consisting of 5 persons namely, the Governor of the Central Bank, the Secretary of the Finance Ministry overlooking finance and 3 other appointed members.

The Central Bank of Sri Lanka has two main objectives in view.

- To maintain economic and price stability.
- To maintain stability of the financial system.

Maintain economic and price stability.

The maintenance or protection of the value of the domestic currency is price stability. Through this the economy is expected to be maintained devoid of inflation and deflation. Less inflation leads to a better economy. This helps to have sustainable economic development and higher employment levels.

Maintaining the stability of the financial system

The ability of economy to sustain itself is known as the stability of the financial system. The creation of security in the financial system makes it possible to identify and minimize any threats to the stability and strengthen the financial process, this way a favorable atmosphere will be dawn for both depositors and investors.

The central bank of Sri Lanka engages in the following activities in order to achieve its objectives.

The main activities of the Central Bank

1. Manipulation of finance policies.
2. Manipulation of exchange ratio policies.
3. Management of Sri Lanka's official foreign reserves.
4. Issuing and distribution of the currency in use.
5. Working as the supervisor of banks and non-banking institutions.
6. Working as the financial agent, banker and the economic advisor of the government.
7. Providing facilities to maintain the Central Bank's settlement accounts of the commercial banks and primary traders' clearance and settlement.

The agency activities of the Central Bank

- Management of state loans.
- Foreign exchange control.
- To work as the primary institution concerned with rural loan schemes for small scale finance institutions.
- Management of the Employees Provident Fund.

How the activities of the Central Bank are supportive to the success of businesses

Sri Lanka Inter-bank payment system – SLIPS

This system with the use of computers is used for the settlement of inter-bank transactions. This inter-bank payment system that was carried out by the Central bank has been entrusted to Lanka Clear (Private) Co.Ltd which is owned jointly by the Central Bank and commercial banks.

The following clearing activities are carried out by Lanka Clear (Pvt) Co.Ltd.

- Exchange of cheques and bank drafts and calculating net balances.

- Keeping the Central bank and other banks informed about this net balance.

Lanka Clear Private Co. Ltd has introduced a common card for transactions under the brand name "**Lankapay**". Universal Interbank Financial Electronic Communication Network – (SWIFT – Society for Worldwide Inter-bank Financial Telecommunication)

This is a network that embraces financial markets across the world based on the latest technologies. International money transfer between banks is facilitated through this system.

RTGS – Real Time Gross Settlement System

This is a computer system that has been set up using modern technology and standardized for the settlement of high value transfers among banks within Sri Lanka without any time delays. This is important because settlements can be done in a very short time. This is the only national payment system in the country for high value transactions.

SSDS –Script less Securities Depository System

This is a system used to effect paperless transactions in the buying and selling of securities instead of the printed security certificates. This is also known as Lanka Secure. This avoids the risk of the investor in the safe keeping and selling of printed securities.

When the two systems above are combined, it is known as Lanka Settle System.

(RTGS+SSDS= Lanka Settle System)

Central Bank activities contribute to there being security when making investments in businesses, the ease of financial transactions being conducted in an efficient manner which in turn ensures success in businesses and their long term existence.

7.4 The impact of various deposits undertaken and loans of commercial banks for the operation and growth of businesses.

There are two main services rendered by commercial banks.

- Services related to deposits
- Services related to loans

Deposit related services

Maintaining Current Accounts (Demand deposits), saving deposits and fixed deposits are deposit related services carried on by commercial banks.

Current Accounts (Demand deposits)

A type of account that has facilities to do transactions with cheques and are not entitled to any interest on the balance. Bank overdraft facilities may be available while transactions can be carried out through teller cards.

1. The ability to make payments through cheques
2. Ability to obtain remittance facilities
3. Ability to make payments on standing orders
4. Ability to obtain overdraft facilities
5. Ability to obtain a report of the transactions (Bank statement)

Saving Accounts

This type of accounts has been introduced with the purpose of encouraging savings and accumulating an interest on the balance. Money can be deposited or withdrawn on the discretion of the depositor. Transactions may also be done through teller cards.

Fixed Deposits

This is a deposit of a fixed sum of money for a fixed period, attracting a fixed rate of interest. A higher rate of interest is payable relative to Savings deposits. Some of the benefits that can accrue to the businessmen, holding a current account among the above mentioned deposits are as follows.

Lending related services

- Overdraft
- Loans
    1. Business Loans
    2. Consumer Loans

Overdrafts

A bank overdraft is a specific approval granted by the commercial banks to a current account holder to issue cheques up to specified value over and above the credit balance available in the account. These are in two types as temporary overdrafts and permanent

Overdraft.

When an overdraft facility has been granted by the bank, the bank will honor cheques drawn by the account holder, up to the limit of the overdraft. Therefore, the value of cheques drawn for more than the available balance in the current account is known as then bank overdraft. Normally a higher rate of interest is charged on overdraft.

A Permanent Overdraft Facility is where the facility allowed in continuously. In order to obtain a permanent overdraft facility it is necessary to provide some assets as security.

Temporary Overdraft Facility is where the bank will honor cheques drawn in the excess of the balance in the account.

Bank loan

A bank loan is a loan furnished by a bank at a fixed rate of interest on the condition of repayment within an agreed period in installments together with the relevant interest.

Bank loans are of two types

- Business loans

A financial facility allocated to an individual or business on short term, medium term or long term basis to meet their business requirements, by a bank is known as a business loan.

- Consumer loans

Loan facilities granted by banks to consumers for purchasing of assets or to meet emergency needs are known as consumer loans.

In order to get an overdraft facility a current account is essential, but it's not necessary for a loan.

7.5 Other services provided by commercial banks

Besides accepting deposits and providing loans, commercial banks also provide with the following services that have an impact on business activities.

1. **Agency services :**

Commercial banks perform as a representative an agent of customers when necessary.

Examples:

- Purchase and sales of securities.
- Putting standing orders into effect.
- Payment of water bills and electricity bills.

2. **Leasing services**

Provision of finance facilities as per the requests of businessmen to enable the leasing of machinery and other assets required for their use.

3. **E-banking**

The facilities furnished through the internet to enable customers to carry out their banking needs are known as electronic banking services. Some such facilities are mentioned below:

4. Home banking

This is to access the bank's website through one's home computer and using the secret pin number to carry out the necessary banking transactions online.

5. Tele banking

This is where the customer is able to use his phone (instead of going to the bank) to access the bank and carry out the necessary banking transactions.

6. Pawning Services

An important service furnished by a commercial bank is to provide emergency loans to customers, mortgaging jewelry items as securities.

7. Safety locker facilities

Commercial Banks also undertake to protect an individual's gold, silver, gems, jewelry, deeds and other important documents. Banks maintain special safety lockers for this purpose.

8. Purchase and Sale of Foreign Exchange

In accordance with Foreign Exchange regulations, commercial banks undertake to purchase foreign currency from customers and also to sell them their requirements of foreign currency.

9. Credit Card Services

This is a type of card issued by a commercial bank or other licensed business entity, through the use of which a customer can purchase goods or services from authorized dealers up to a specified value. It is also possible to obtain cash up to a limit, at an Automatic Teller Machine, using the credit card.

Examples:

- Visa Card
- Master Card
- American Express Card

10. Money Remittance Activities

This means the collection of money due to the account holder on his behalf. Here, sending money to an individual in a foreign country as well as receiving money from an individual in a foreign country also takes place.

11. Issue of Traveler's Cheques

This is a special type of cheque that is used by the local and foreign travelers that enable them to carry out their various transactions easily and safety. Traveler's Cheques are issued in commonly used currencies and in different denominations. The traveler gives the local currency notes he possesses to the bank who will issue Traveler's cheques for an equivalent value subject to bank service charge. Then the tourist on his travels will exchange the traveler's cheques at a local bank according to his cash requirement.

12. Automatic Banking Services

This is an electronic method of funds exchange that is available to bank account holders who can enjoy a lot of facilities that his bank has made available, at any time of the day. Through this the customers are able to obtain the following services from banks.

Advantages to customers because of automatic banking services:

- Withdrawal of cash using the teller card (ATM)
- Depositing cash in the account
- Transferring funds from one account to another
- Ability to check the balance in the account
- Availability of bill payment facilities

Advantages to the bank because of automatic banking services:

- Cost reduction
- Reduction in the rush at the Bank
- Increase in accuracy
- Possibility of reducing the work force
- An increase in banking service will result in increased profits

13. Issuing of Letters of Credit

A letter of credit is a confirmation issued by the importers' bank to the exporter's bank on the request of importer as the assurance that they will pay the cost of the goods supplied by the exporter on behalf of the importer.

14. Insurance services

A commercial bank will tie up with an insurance company to provide insurance facilities to its customers.

15. Providing medical services (E-Channeling, E-Billing)

16. Installation of ATM and CDM machines in highly populated locations.

Installation of ATM machines that are specially meant to accept cash and cheque deposits.

7.6 Transactions can be made easy by using cheques.

A cheque can be introduced as the written order issued by a bank current account holder (drawer) to the commercial bank (drawee) asking to pay the amount stated on the cheque to the person named thereon (payee) or to the bearer of the cheque.

Main parties involved in a cheque:

Drawer: Account holder

Drawee: The commercial bank where the account is maintained

Payee: The person named on the cheque or the person entitled to receive the stated amount on it.

Basic characteristics of a cheque

Paste a Cheque

1. Date

2. The name of the Bank and branch

3. Payee’s name

4. The term ‘Or Bearer’

5. The value of the cheque in words and figures

6. The word ‘Pay’

7. Drawer’s signature

8. Magnetic Ink Character Recognition Strip (contains cheque number, Bank ref number, Branch number and account number in order)

9. Check counter foil

There are mainly two types of cheques

Bearer cheques

This is a cheque where the printed notation “or bearer” has not been cancelled. While, in the absence of an endorsement this cheque can be assigned to another person by merely handling it over, to a great extent it is similar to carrying out a transaction using currency notes.

Order cheques

This is a cheque where “or Bearer” has been struck off and in its place “order” has been mentioned. When a cheque like this is being assigned to another person it is necessary to be endorsed. There is a higher safety level in an ‘order’ cheque over a ‘bearer’ cheque.

Some of the facts that should be taken in to consideration when drawing a cheque

1. Indelible ink should be used when writing a cheque.
2. The relevant details should be mentioned on the counter foil.
3. Any errors made in writing the cheque must be stuck off with a single line with the drawer’s full signature.
4. The cheque must be written in only one language.
5. The drawer’s signature must be made as per the specimen given to the bank when opening the account.
6. Attention must be paid to the date placed on the cheque and also to the steps taken subsequently for its safety.
7. The drawer’s signature must not be placed on a ‘blank’ cheque.

Crossing the cheque

Drawing two parallel lines across the face of the cheque or stating the name of a commercial bank is known as ‘crossing’ a cheque. While any person can make a ‘crossing’ on a cheque, it is only the drawer that can make such a ‘crossing’ invalid.

The necessity to ‘cross’ a cheque.

- This gives on additional safety for the cheque.
- To ensure that the ‘payee’ stated on the cheque will receive its value.
- To prevent paying to the cheque at the bank counter.

There are two types of crossings.

- General crossing
- Special crossing

General crossing

Drawing two parallel lines across the face of the cheque with or without any statements is called a General crossing.

Special Crossing

Stating the name of a commercial bank with or without the parallel lines is a "special crossing". A cheque of this nature must be deposited in an account of the bank name stated on it.

"Not negotiable"

Stating 'not negotiable' within the parallel lines means that such a cheque can be endorsed and transferred and that when such a transfer takes place the transferee does not have a greater right to it than the transferor. Therefore, when a cheque with this notation is received the person receiving should be fully aware of the rights of the transferor.

"Account Payee Only"

When the cheque is crossed "Account Payee Only" it means that the cheque must be deposited in an account bearing the payee's name. This notation limits the cheque being transferred to another person.

"Only up to Rs. 5,000"

The notation "Only up to Rs. 5,000" limits the maximum amount that can be written on the cheque.

Endorsement of cheques

Writing the name of the payee on the reverse side of the cheque, exactly as it is stated on the face of the cheque is known as endorsement. (Any person in whose name the cheque is drawn must write his name on the back of the cheque when it is being transferred.) This endorsement confirms that the transfer is legitimate.

Instances where the endorsement is necessary.

1. When the 'Payee' deposits the cheque in his account
2. If it is an 'Order' cheque, when it is being transferred
3. When a cheque without crossings is presented to the bank counter for encashing.

Dishonoring of cheques

Where a bank rejects the payment for a cheque that has been presented, it is known as the cheque being dishonored.

Instances where a cheque may be dishonored;

1. Insufficient funds in the account
2. Where the drawer stops payment (countermanded)
3. Where the drawer becomes bankrupt
4. Where the drawer dies and this is intimated to the bank
5. Where a garnishee order has been received (a court order)
6. Because of an error in writing the cheque (technical errors)
7. Where the account has been closed

7.7 Transactions can be made convenient by using e- money.

E-money

The electronically exchange of cash or the cash exchanged through a computer network is known as e-money. As a result, a fund transfer takes place from one party to another party (Electronic Fund Transfer).

Types of electronic money:

- Credit cards
- Debit cards
- Prepaid cards
- Smart cards
- Micro Chips

Credit Cards

Cards that are issued by a commercial bank or authorized institution that allow a person to obtain goods or services up to a specified value from authorized dealers are known as Credit Cards.

An electronic verification system is used to verify the validity and credit limit when a credit card is presented to a businessman. When the card is inserted in the card machine at the sales outlet these details are revealed.

However, in electronic commerce the presentation of the card is not necessary and the transaction can be carried out by providing the relevant details about the card.

Examples: Ceybank Visa – Bank of Ceylon

People's Visa – People's Bank

Master Card – Sampath Bank

Seylan Visa – Seylan Bank

Advantages and disadvantages of making transactions through Credit Cards

Advantages to the customer	Disadvantages to the customer
• Having an account is not a requirement to obtain a credit card.	• Having to pay a penalty for late payments for the credit card.
• An interest free loan for a given period.	• Not being able to carry out transactions from all the sales outlets.
• Cash can be obtained through an ATM machine within the credit limit.	
• Being entitled to discounts and bonus points.	

Advantages to the business	Disadvantages to the business

• Certainly that money will be received for a credit sale.	• A commission is payables to the bank
• Increase in profit because of a higher turnover	• A special machine has to be installed
• Receiving free publicity	•

Debit Cards

An account holder can use this card to settle his shopping bill and also withdraw money from a Teller machine up to the balance remaining in his account. This card is issued by the commercial bank where the account is maintained.

Examples: SET Sampath Bank

PET People's Bank

Cat supper Commercial Bank

Advantages and disadvantages to the customer by using the debit card for transactions

Advantages	**Disadvantages**
• Interest is not payable because the money in his account is used.	• It is necessary to have an account.
• The transaction is completed at the same time.	• The value of transactions is limited up to the balance available in the account
• Cash withdrawals can be done through ATM machines as well.	

Pre-paid cards

This is a type of card obtainable by making payments in advance. This is a convenient, protective electronic payment system that can be used instead of paying in cash or by cheque. Even a person who does not maintain an account can use this card to make payments electronically.

Examples: Telephone cards

Travel passes

Smart cards

This is an integrated circuit card. A chip with a specified money value is embedded in the card. Once a transaction is completed using this card the value of the transaction is debited to the card and the balance is reduced. The card can be reloaded by making regular payments to the organization that issued the card. While this card has the same facilities as a Credit card, Debit card, ATM card, it can also be used as an E-purse.

The following characteristics can be seen in electronic money cards

1. The name and the logo of the issuing organization.
2. Type of card
   E.g.: Debit card, Credit card, ATM card
3. Card No.
4. Brand logo
   E.g.: Visa. Master
5. Date of expiry

6. Card holder’s name
7. Magnetic strip
8. Signature stripe
9. Card security code
10. Hologram
11. Issuing organization’s name, address and conditions
12. Customer service hotline

The following parties are involved in the settlement of electronic transactions:

- Card holder
- The card issuing organization
- The trader or seller
- Credit Association

Example: Visa, Master, American Express (AMEX)

Advantages and disadvantages in making transactions with electronic cards

Advantages :	Disadvantages :
1. Cost of transactions being minimized.	**1.** Having to bear the costs of interest, penalty for delayed payments etc.
2. Assuring the safety of cash.	2. Possibility of committing fraudulent deeds.
3. Ability to make transactions for 24 hours in the day.	3. Addiction to an unnecessary consuming pattern.
4. Convenience of payment activities.	4. Interruptions to transactions due to technical defects.
5. Various benefits being entitled.	5. Inability and lack of knowledge for all customers to carry out transactions.
6. Ability to use for overseas transactions as well.	

8 The necessity of insurance for the existence of businesses.

8.1 Insurance

Risk

The space of occurring damage which can be estimated financially is known as risk in insurance.

There can be various risks when performing business activities,

Examples:

- Catching fire
- Risk of theft
- Loss from business.
- Damages that can happen to business properties.

Insurance is an agreement between an insurer and the insured whereby the insured agrees to pay the premium and the insurer agrees to pay compensation that the insured face from insured risks.

Risks can be categorized as **insurable risks and non-insurable** risks, Given below are some characteristics that should be in insurable risks.

- Risks can be forecast.
- Risks that may happen in the future can be calculated in terms of money.
- Risks should not be certain. In other words, the loss should happen in a random way.
- It should be of no connection. It means, the loss that has happened should not be related to any other insured loss.
- It should be verifiable. The cause for the loss, the place where it occurred, time and amount can be analyzed.

To be an insurable risk, the above facts need to be fulfilled. If the above facts are not fulfilled then those kinds of risks are **non-insurable risks.**

Insurable risks	**Non-insurable risks**
❖ The risk that may be caused by the buildings catching fire. ❖ The risks of motor vehicle accidents. ❖ Damages that happen to money in transit. ❖ The risk of not receiving the money from a debtor.	❖ Businesses experiencing loss. ❖ The risks from natural reasons. (Depreciation, expiration, vaporisation) ❖ The risks decided by one's ability and strength (Failure in exam , loss of love) ❖ The risks caused by the change in design.

Importance of Insurance

- Investors are motivated to start businesses since the risks of the businesses are covered by the insurance.
- Receiving protection in terms of money when disabled or at death. (for employees)
- Capital for the development of the country is provided since the insurance companies reinvest their funds.
- The international trade has been developed since marine insurance.

Insurance agreement

Insurance agreement is a written agreement that takes place when an insurance proposal form, presented by the person who intends to obtain an insurance coverage, is accepted by an insurance institution.

Insurance policy

Insurance policy is a written certificate given by an insurance institute to the insured after an insurance agreement for a life or a property has taken place,

There are two parties related to insurance agreement

- First party (Insured)

  The person who presents an insurance proposal or the person who obtains insurance coverage.

- Second party (Insurer)

  The party who accepts the insurance proposal or the insurance company.

Apart from the above there can also be a third party. The third party is the relationship about external party that comes into the activation of the agreement.

To validate an insurance agreement, there should be the following :

- Idea of legal obligation
- Insurance offer or proposal
- Acceptance
- Legal validity
- Ability to have legal obligation by parties.

8.2 The principles of insurance

To maintain the insurance business in an orderly manner, the principles of insurance should be followed.

- Insurable interest
- Utmost good faith
- Indemnity
- Subrogation
- Contribution
- Proximate cause

Insurable interest

The interest over anything, whereby the existence of it causes economic advantages and the loss of it causes economic disadvantages is known as insurable interest.

Examples:

- There are insurable interests over husband's life to wife as well as over wife's life to husband.
- The legal owner of any property has insurable interest over the property. (Own motor vehicle, land etc.)
- A creditor has insurable interest over the debtor's life which limits the amount of money he has lent.

Utmost good faith.

Revealing all the information related to the insurance agreement by the insurer and the insured morally regarding the object, subjected to insurance, is known as utmost good faith.

Indemnity

When an insured property has been damaged, payment of an adequate amount of the compensation to restore the property is known as indemnity.

Examples:

- If a motor vehicle worth 40 lakhs has been insured for the same amount and if a damage of 2.5 lakhs takes place, only 2.5 lakhs will be received as compensation.

Contribution

When a property has been insured in several insurance companies and if a damage has occurred to it, payment of compensation by all the insurance companies for it by contributing proportionately is known as contribution.

Examples:

- If a property worth 10 lakhs has been insured in three insurance companies named A, B and C for 5, 3, and 2 lakhs respectively, and if a damage of Rs. 100,000 has occurred to it, According to the ratio 5 : 3 : 2, A contributes 50,000, B contributes 30,000 and C contributes 20,000 as compensation.

Subrogation

When the insurance company has settled the loss for the damage caused to the insured property, transfer of other advantages and rights from external parties that the insured can obtain, to the insurer is known as subrogation.

Examples:

- If a motor vehicle, insured for 50 lakhs is destroyed totally in an accident, then the insurance company pays all 50 lakhs as compensation and takes over the debris of the vehicle.

Proximate reason

When several reasons cause the damage of an insured property or a life, the payment of compensation is made only if the proximate reason is covered by the policy is known as proximate reason.

Examples:

- A person owning a theft insurance policy cannot obtain compensation if his home is damaged by a fire. The reason is, the risk of catching fire hasn't been covered by the insurance policy.

Insurance interest, utmost good faith and proximate reason are the only principles that are relevant to life insurance.

Indemnity and the principles relevant to it such as contribution and subrogation are not relevant to life insurance. The reason for that is, the loss is immeasurable when a loss or an accident happens to lives and that it cannot be recovered. In life insurance a certain value mentioned in the policy will be granted as compensation.

Reinsurance

Insuring back a risk that is undertaken by an insurance company by itself under another insurance company or many is known reinsurance. Since an insurance company can transfer the liabilities through reinsurance, the premium charged from the insured is rather low.

Underwriting

Dividing the risk of a property, which is of higher value, into several insurance companies and handing over the risks to several insurance companies and in case of an accident to the property the loss will be compensated by the companies to the amount they have undertaken is known as underwriting.

Double insurance

Insuring a property in more than one company can be known as double insurance. The compensation for the damages will be paid according to the insured ratio.

8.3 Types of insurance policies which covers various risks in business.

Insurance is categorized under two categories.

- Life insurance / long term insurance
- General insurance.

Life insurance / long term insurance

When faced with risks due to the demise or physical hazards of the insured, providing monetary benefits to the insured or his beneficiaries is done in life insurance.

The aim of the life insurance is to protect a certain person against the losses caused as a result of demise disability or turning to old age.

Life insurance is obtained for a certain period of time, if the insured dies during that period, the agreed total value is given to beneficiaries or a named person and if he lives until the period is over, he can obtain the value of the insurance policy and benefits at the end of the period.

The way that the life insurance differ from other insurances

life insurance	**other insurances(General insurance)**
• The risk of life insurance is certain • Indemnity principle is not relevant to life insurance • Life insurance is equal to a saving • Life insurance policy cannot be transferred	• The risk of other insurances is uncertain. • Indemnity principle is relevant • compensation for other insurances can only be obtained when a loss is occurred • Other insurance policies can be transferred.

General insurance

General insurance can be categorised as follows .

- Fire insurance
- Theft and burglary insurance
- Natural disaster insurance
- Marine insurance
- Motor vehicle insurance
- Liability insurance
- Goods in transit insurance
- Money in transit insurance

Fire insurance

Insurance that can be obtained to cover the losses caused to a person, building or any other property due to fire is the fire insurance.

Apart from the losses caused due to fire, the following risks can also be covered in the policy by extending the policy by paying extra premium.

- Losses by riots / strikes
- Losses by explosions
- Losses by electricity
- Earth quakes / tsunami
- Flood /whirl winds /storms
- Aircraft crashes
- Losses from crashes.
- Consequential losses

Theft and burglary insurance

Theft insurance policies can be obtained to cover the risks that can happen to busness premises or to homes from thievery.

Natural disaster insurance

Natural disaster insurance can be obtained to cover the losses occurred to properties such as by storms.

Marine insurance

The losses caused to ships and goods in them while transporting by the sea can be covered by marine insurance.

Marine insurance is of two parts.

- Hull insurance
- Cargo insurance

Different kinds of insurance policies can be obtained under the **hull insurance**.

- Full option policy (Comprehensive policy)
- Total loss policy
- Port risk policy
- Maintenance policy
- Construction all risk insurance policy

Different kinds of insurance policies can be obtained under the **cargo insurance.**

- Valued policy
- Open cover/ floating policy
- Future time policy

Motor traffic insurance

An agreement made between an owner of a motor vehicle and an insurance company to obtain compensation for the loss occurred to motor vehicles, people traveling in motor vehicle and other external parties due to motor vehicle accidents.

There are some kinds of insurance policies that can be obtained under motor traffic insurance.

- Full insurance
- Third party fire and theft insurance
- Third party insurance

Full insurance policy

By a full insurance policy losses to the relevant vehicle, people and properties that traveling the vehicle are covered.

Third party fire and theft insurance

By third party fire and theft insurance, apart from losses to relevant vehicle by fire and theft, losses to external people and properties are also covered.

Third party insurance

By a minimum third party insurance losses only to third party and properities are covered. To run a motor vehicle on the road at least minimum third party insurance must be obtained.

The liability insurance

Insuring the liability for the losses caused to other parties is known as liability insurance. Because of this insurance, businessmen can get protection against liabilities for other parties for the losses caused by them selves.

Given below are some liability insurance policies under liability insurance.

General liability insurance

An insurance coverage obtained by relevant businessmen or owners of the properties for the loss that may unexpectedly occur from properties or from business activities.

Product liability insurance

An insurance coverage obtained by businessmen for the losses that may occur to consumers by consuming the products that the relevant business sells.

Employer liability insurance

It is the responsibility of the employer to pay compensation for the accidents to employees while being engaged in service. In that kind of situation the liability to pay compensation can be transferred to an insurance institute.

The insurance that the employers obtain for employees , who work under them, to pay compensation for wounds and ailments which happen due to work is known as employer liability insurance.

Goods in transit insurance

Insurance that is obtained to cover the losses that can occur to goods from the moment they are loaded to transport till they are unloaded intending to transport on land is known as goods in transit insurance.

Money in transit insurance

The insurance that is obtained to cover the loss that can happen while taking money from one place to another is known as money in transit insurance.

9. Using communication effectively for the success of business activities.

Communication can be defined as sending and receiving information, understanding and sharing information from one party to another or many parties.

Communication is important for business activities as well as social activities.

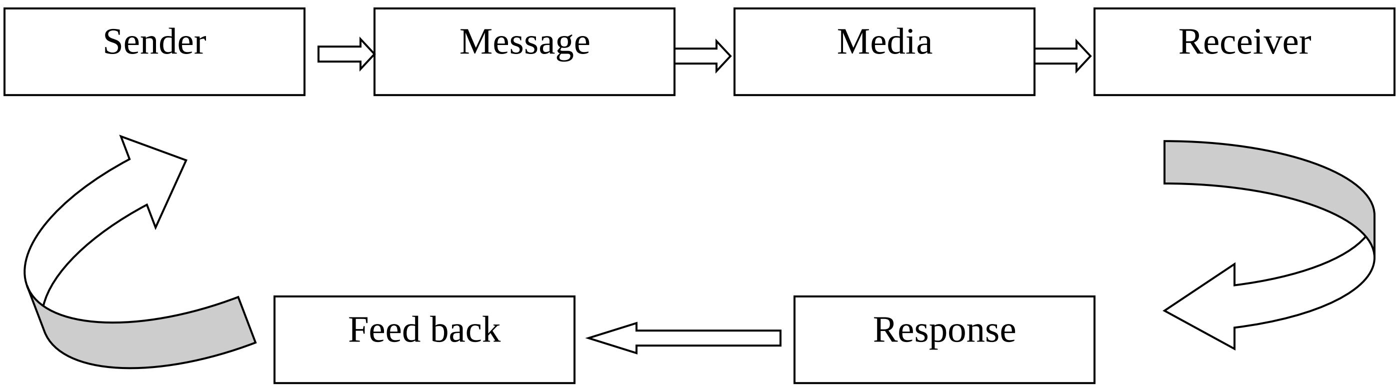
The importance of communication for business activities.

1. To exchange ideas between parties at businesses.
2. To maintain employer employee relationship.
3. To manage human and physical resources well.
4. For marketing promotional activities.

The importance of communication for social activities.

1. To exchange ideas and messages socially.
2. To know instantly about the incidents that happens internationally.
3. To get information needed for educational activities.
4. To know about new inventions that comes with the technological improvement.
5. To build up social relationships nationally and internationally.

Communication process can be shown in a diagram as follows.



Example

- The sender of the message – Chief executive officer.
- Message – Make all the employees participate in the employee training programme held by the organization on 02nd December 20xx.
- Medium – Written
- Recipients – All the managers
- Response – After receiving the message, all the mangers informed the respective employees and made necessary arrangements for it.
- Feedback – Informing the chief executive officer through an e-mail that all the necessary arrangements are made.

The elements of the communication process

Sender - This is the party sending the message. If it is verbal the sender is a speaker or a lecturer, if it is written form then it is the person who signs it or the institution.

Message - The information that the sender provides to the receiver.

Media - How can the information be provided? This is the communication mode used to provide information.

Examples -: Verbal medium, written medium.

Receiver - This is the person who grasps the message. He can be a reader, listener or viewer.

Response - The way the receiver acts on what he heard or read.

Feed back - This is the response from the receiver to the sender of the message ensuring that he received and understood the message.

Characteristics that should be in an effective communication

1. Correctness
2. Brevity
3. Completeness
4. Clarity
5. Politeness
6. Certainty
7. Consideration
8. Cost
9. Speed

The following points must be taken into consideration when preparing a message.

1. The nature of the message
2. Completeness
3. Correctness
4. Politeness
5. The ability of being understood by the receiver
6. Brevity [briefness]
7. Certainty

Communication Medias are categorized as follows.

- Oral media
- Written media
- Signs and symbols media

It can also be categorized as follows in the way communication takes place in an organization.

- Internal communication
- External communication

Internal communication

Internal communication is the exchange of information among the different parties within a business organization. In internal communication, exchange of various information

- Among managers – owners
- Among employees – employees
- Among departments – departments takes place.

External communication

External communication means the exchange of information by the business organization with external organizations and external parties. In external communication, exchange of information

- Among business organizations – customers
- Among business organizations – other business organizations and suppliers. takes place

Given below are some examples of ways that the communication is done through various communication media

Verbal	Written	Signs and symbols

Internal	External	Internal	External	Internal	External

Electronic communication

Communication that has been generated with the development of information and communication technology is known as electronic communication.

Modern electronic communication methods

Internet

A computer network that covers a wide range or a computer network that is available internationally. It can be described as the network of networks. Here, the information that is entered from various places can be obtained through a personal computer.

E-mail

Exchange of messages through internet from a computer to another computer is known as email. To send a message that is prepared electronically, the sender and the receiver both should have internet facilities and email addresses.

Intranet

An institutional network based on internet, which has been facilitated to reach the data within the institute. This is a network that is under the control of a person or an institute and the service provided by this is available only for authorized persons.

Voice mail

This is a system where the message given by the sender verbally over the phone is reflected through a network and is stored or recorded in a disk to retrieve later.

Fax

An electronic machine, that enables to transmit letters and documents with pictures instantly through an ordinary telephone system, is known as a fax machine. In a fax method, the fax machine that sends the message gets the print of the relevant documents through digital technology and transmits it to the fax machine which receives it.

Mobile phones

As a result of the development of the communication technology at present, mobile phones are used to do various business activities through satellite technology.

Intercom

A telephone network installed privately to exchange information within the organization through the telephone network.

Barriers for an effective communication

1. Poor knowledge about the use of modern technical methods.
2. External barriers occur in the use of communication equipment.
3. Use of out dated communication systems.
4. Barriers that occur in the process of the communication means.
5. Weaknesses that exist in the communication plans.
6. Language problems , knowledge and attitudes
7. Barriers that occur in the external environment.

Given below are some strategies to overcome the barriers of communication.

1. Use of modern communication equipment.
2. Imposing rules and regulations regarding communication
3. Setting up communication towers.
4. Use of digital technology
5. Compilation of new rules and regulations on the misuse of communication methods,

Advantages and disadvantages of verbal communication media.

Advantages	**Disadvantages**
• The ability to present a problem in greater detail and present it by discussion.	• The possibility of language problems. • Problems of exchanging information with parties who are verbally weak.

• The provider and the receiver of the information become much closer. • The ability to present the information fast and confidentially.	• Non- existence of proof that the information is communicated.

Advantages and Disadvantages of written communication media

Advantages	Disadvantages
• It is possible to provide information in greater detail. • Can be used as a proof for the transmission and receipt of the information. • It is possible to transmit data, notes, tables, graphs etc. easily.	• There can be difficulties in understanding the information. • If the recipient has reading difficulties the transmission of information becomes difficult. • The information may get distorted in the transmission process.

Advantages and disadvantages of signs and symbols communication media

Advantages	Disadvantages
• The ability to present information briefly and clearly. • The accuracy of the information being at a higher level • The ability to understand the information easily	• There will be problems in exchanging information where the recipient suffers from a sight impairment. • If signs and symbols get distorted over time, miscommunication can occur. • It can be difficult to understand some signs and symbols. • The need of knowledge on signs and symbols before they are understood.

10.

Contribution of logistics for the success of businesses

The process of moving people or goods from one place to another utilizing different media is transportation.

Transport is an essential support service for the success of business activities. Transportation is not merely a medium but it is a system developed through several balanced elements. For balanced development in transportation, it is necessary to have growth in transport elements or an availability of them.

The transportation elements can be described as follows

- Way – The various ways used in transportations.

  Example: Highways, railways, water ways, air ways

- Mode – Various types of vehicles used on various roads.

  Examples: Motor vehicles, trains, ships, aero planes

- Power – The types of fuel energy that is used to operate each mode of transport.

  Example: Coal, petroleum, electricity, gas

- Terminal – This is where each of the modes of transport is parked.

  Examples: Bus station, railway station, three Wheel Park.

The way	Mode	Power	Terminal
Highways	Car Motor vehicles, Bicycle, Lorry, Bus	Man Labor, Animal Labour Diesel, Petrol , Gas, Electricity	Bus stand
Railways	Train	Coal Diesel Electricity	Railway station

Airways	Aero plane Helicopter Jet	Aviation fuel	Airport
Water ways	Ship Boat Canoe	Wind Diesel Man labor	Harbor Port

The advantages and disadvantages of each method of transportation can be stated as below:

Highway transportation

Advantages	**Disadvantages**
• The ability to select the most suitable mode of transport • This mode being spread all over the country • The ability to use highways at any time desired • The ability to use the same mode of transport to cover the entire journey	• The inability to transport large volumes of stock at the same time • The high cost of maintaining high ways • The high amount of delays and accidents • Obstacles that arise because of weather conditions

Railway transportation

Advantages	Disadvantages
• The ability to transport many passengers and a large volume of stock at the same time • Being safer than highway transportation • Carriages can be organized as per the nature of the goods • Being cheaper when compared with other modes of transportation • It is possible to obtain extra facilities such as restaurants, sleeperettes, observation cars etc	• Railways are not available all over the country • Rail services are not available at preferred times • As it may not be possible to utilize railway services up to the final destination itself it may be necessary to use other modes of transport as well. • Delays can result from malfunctioning of signal lights, dilapidated railway lines etc.

Water ways transportation

Advantages	Disadvantages
• Being helpful for international trade • Ability to transport a large volume of goods at the same time • Ability to choose a type of vessel suited to the nature of the goods	• Shipping services not being freely available. • Transportation taking an extremely long time

Air transportation

Advantages	Disadvantages
• Very high in speed. • Suitable for perishable goods • No cost of maintenance of air routes	• Not suitable for the transport of bulky and very heavy goods • Cost of transport being high

	• Higher probability of accidents • Not being able to obtain services at the time required

Transport is the most important device in globalization, economic and social development. The manufacturing and consumption happens in different places because of transportation. Transport is largely responsible for the expansion of trade and also the dispersion of populations. Accordingly, the importance of transport to various parties can be stated as below:

The importance of transport for the businessman

1. To obtain raw materials at the required time
2. To make finished goods available at the time it is required
3. To get the staff to attend to work on time
4. To maintain business connections
5. For the expansion of the market

The importance of transport for individuals

1. To create and maintain social connections
2. For employment and tourism
3. For recreational purposes
4. For research, exploration, and educational activities

The importance of transport for the economy

1. For the growth of employment
2. For the growth of international relationship.
3. For the growth of foreign trade

Several points that must be considered in selecting an appropriate transport method:

1. The nature of the goods–

Here, the mode of transportation selected depends on the nature of the goods, its durability weight, value etc.

Examples:

Use of dowsers to transport petroleum

Use of Lorries for the transport of timber

Use of refrigerated trucks for the transport of fish

2. Cost –

The total expense that must be borne for the transport is its cost. Since transport costs will result in an increase in the cost of the goods produced, this needs to be given extra consideration

3. Speed –

It is necessary to transport some raw materials and goods faster. The reason for this maybe

Perish ability, reduction in quality etc. Quick transport will reduce the time spent in transportation

to a minimum. This gives an opportunity to carry out the transportation activity efficiently.

Example: Fish, Vegetables, Fruits and curd

4. Distance –

The method and mode of transport selected will also depend on the distance, the goods have to be transported. The cost will vary according to the distance.

5. Capacity –

This is the number of passengers or volume of goods that the selected mode of transport can carry at a time. The mode of transport selected should depend on the quantity/volume of goods / people that need to be transported.

Example:

Large stock volumes are transported in lorries while the distribution of small quantities of stocks can be done through distribution vans.

6. Safety –

It must be possible to transport the goods or passengers in safety right through to the destination.

Examples:

Use of airlines for the import/export of fruits like apples and grapes

Use of ambulances for the transport of patients

While trends in the development of the transport field take place continuously, the following can be given as examples:

- The use of tunnels.
- Construction of fly over's
- Construction of express ways
- Deployment of electric motor vehicles
- Promoting the use of environment friendly energy sources

Example: production of fuel from vegetables and fruits

- The ability to get transportation modes to a place an individual resist

Forecast the future in the transport field

Hyper loop concepts

This is a futuristic transport system that has been introduced by Eflon Mike in 2012. Hyper loop is a proposed mode of passengers and freight transportation that would propel a pod – like vehicles through a reduced pressure tube that would exceed airliner speed.

Walk car, air wheel

This is a very small type of equipment that can be utilized as an alternative to walking.

Warehousing

Warehousing is a process of storing and preserving stocks from the time of buying or manufacturing until they are sold or used or distributed.

This process contains the following

- Receipt of stocks
- Identification
- Inspection
- Verification
- Ensuring quality
- Putting away
- Retrieving for issue

Warehouse is the place where the goods are stored or a place used to keep the goods for a long term

The facts have to be considered when locating a warehouse

Layout and flow of the building

The optimum layout of the building used for the warehouse (location of doors, spaceous area, height of the ceiling, system of storing the material etc.) will have a great impact on the operational activity (storage of the materials, distribution, packing, labelling etc.) in the building. This will create limitations on the amount of rows available for the storing of goods, the height of the celling and the equipment used to store the goods in a building and to the movements of goods. It also influences the receiving of raw materials or finished goods to the warehouse or issuing of materials. So it should be deeply considered whether the space of the building selected is suitable for the movements of materials as expected by the businessman.

Zoning and intensity of use in the warehouse:

When locating a warehouse it is necessary to consider what the speed of the operations which is done inside the warehouse, how fast the storing of goods in the warehouse and withdrawing of the goods are done. Also the functions expected to do in the future will be considered. If the functions of the warehouse is to store and protect for a certain period or if it's a simple assembly activity a place can be used to move the material with less speed.

If the operations happens for 24 hours, it is necessary to select a place with facilities to obtain the materials and distribute fast. It should be considered where to locate the warehouse by taking into account the factors of out going noise, out going substances and necessity of outdoor storing.

Proximity to major linkages

Warehouse should be located according to the main transportation method used to transport the stored goods, such as railways, airways or waterways. It is suitable to locate the warehouse where is easy to depart from the expressway or easy to reach the airport.

Apart from that another important factor is the proximity to the consumers. If the majority of the production is exported and the rest of the production is distributed to the retailers in the country, it is necessary to select the warehouse location where it can be easily accessed by the express ways and railways as well to harbour. The accessible part of the cost of a production includes the cost of transportation. Therefore, the location of the warehouse should be decided having much concern about the cost of transporting of raw materials and finished goods.

Material handling capabilities

The facilitation of storing the materials and handling the equipment in movement of materials is also considered when locating a warehouse. Loading and unloading terminals are needed to operate equipment which lifts the goods and trucks which are used to move the goods.

If the goods are needed to be distributed quickly the availability of such facilities are essential.

Nature of stocked materials.

Business needs to select the most suitable warehouse to store the materials according to their nature such as explosives and inflammables, food items, perishables and chemicals.

Warehouse should be selected according to its nature and considering the environmental factors while ensuring the heat, moisture and not being harmed from fire and rain.

E.g. If the stores item is inflammable, the availability of water supply or resources should be considered.

Cost

The transport cost of carrying the raw materials to the factory, the cost of distributing the manufactured products to final consumers and loading and unloading cost should be

Factory, the cost of distributing the manufactured products to final consumers and loading and unloading cost should be calculated where the transport cost can be minimized, expenses like

- Rent for the warehouse
- Security deposits
- Insurance rates
- Parking premises and expenses should also be considered.

Several ways of storing the goods in a warehouse

1. **Pallet racking**

This is an easy and profitable method of storing. Goods are stored on several marble pallets which are kept on one another in a frame. It is easy to access any pallet at any time. Individuals can reach to any pallet of goods using a ladder or forklift truck.

2. **Block stacking/ Bulk storage**

In this method the goods of the same type are stored on top of another on the floor of the warehouse. Accordingly various types of goods are stored on the various places of the floor as heap of goods. So the physical media like sacks or containers are not necessary to store the goods

E.g. Rice, Sugar, Flour, Natural stones, Bricks

3. **Pallet Flow**

These methods of pallet racks are composed with tracks or marble belts. These can be fixed to the drive in method in which the storing of goods and removing of goods can be done on the same side or drive through method in which the goods are stored on one side and removing of goods can be done on the other side. The quality of the goods is very high when storing under this method and space can be optimized. This method is suitable to store the goods which are high in cost and stored in refrigerated warehouses. Speed controlling equipment can be fixed to prevent the damages to the goods.

4. Push – Back Racks

In this method small baskets are fixed to the racks which have several layers. Baskets can be stored one top of another to make several layers. After placing the products on one layer it is pushed to back and the next layer is placed in front of that.

5. Mezzanine

An additional layer is crated in between two floors of the warehouse. Any method explained above can be used to store on this layers. Existing area of the building can be doubled by this method.

6. Automated Storage System

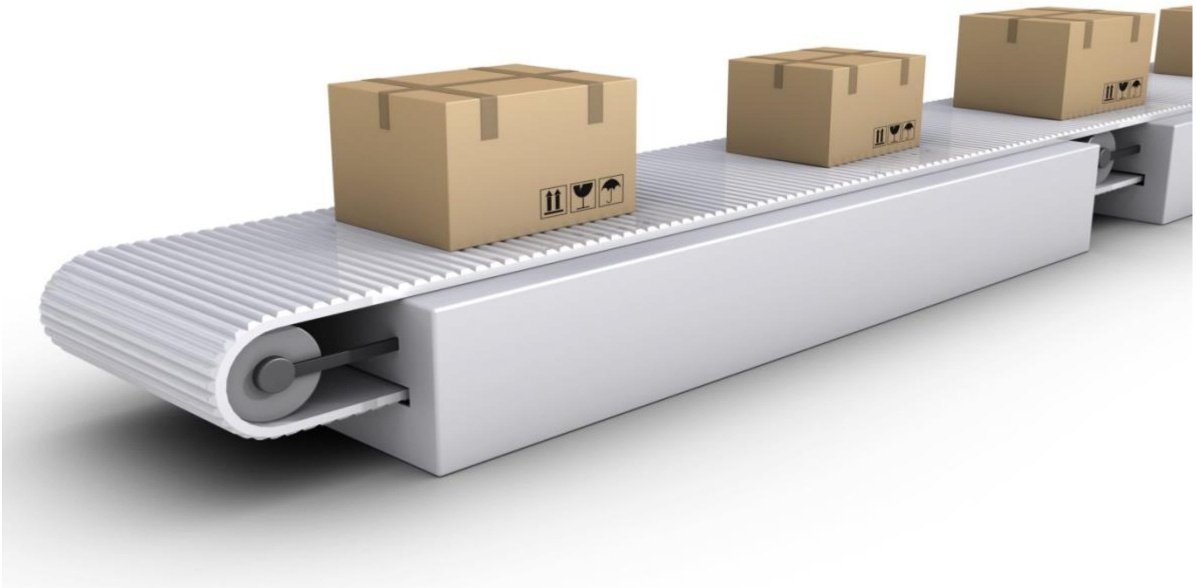
A mechanical arm device controlled by computer technology is used to stock and remove the materials in the warehouse. This is very suitable to remove the stocked items of very small quantities / sizes. This method is also suitable to store and remove thousands of books and documents stored in archives.

Several types of equipment are used in a warehouse to move the goods

Fork lift

Pallet jacks

Conveyor belts



Forklift Truck

Following are some advantages of using the equipment in storing and moving the goods systematically in the warehouse.

1. **The warehouse is well organized.**

The warehouse is well organized when storing the goods systematically using suitable methods and using equipment to move the goods. Then it is easy to the owner and employees to maintain and manage the warehouse.

2. **Safety of the stocked products and employees**

There will be no threat to the employees while they are working and there will be no confusion in the warehouse. The products are safe because they are placed in respective places due to systematically storing

3. **Contributed effort and saves time**

It is time consuming when storing and removing of goods are done using manual systems. If the systematic method is used to store the goods, it will save the effort and time of storing and removing goods.

4. **Save space of the warehouse**

The warehouse is organized systematically since the goods are stored systematically. When the goods are stacked over and over instead of piling all in the same place there will be more space in the warehouse

Logistics

Logistics is the process of planning and implementation of the flow of goods, services and relevant information forwards and backwards from the point of origin to the point of consumption efficiently and effectively with the aim of ensuring the fulfillment of consumer needs and wants.

A planned system of logistics is essential for the smooth flow of operational activities of a firm. There are two basic processes in such logistics systems.

Inbound logistics- The movements of raw material or finished goods from the point of purchase to the point of production

Outbound logistics- The movement of supplying the products or relevant information from the end of the production process to the final consumers.

Vendor → Manufacturers → Wholesalers →Retailers → Customer

← Inbound logistics → / ← outbound logistic →

There may be various types of logistics systems according to the nature of the firm or nature of the products as follows

Balanced logistics systems

The similar flows of a flow from raw material/ products up to the firm and flow to the consumer after the production

E.g.: Firms providing consumer goods such as Nestle, Uniliver

Heavy inbound logistics systems

E.g.: Manufacturing firms of airplanes

The manufacturing process of airplanes is complex because various firms and countries are connected in obtaining the necessary material and services but the process of selling the airplanes is not so complex

Heavy outbound logistics systems

E.g.: Chemicals Company

Storing of chemicals, packing and transporting should be done with special attention. So this process is complex.

Reverse logistics systems

E.g.: Packages like gas cylinders that will be handed over again.

Impacts on the environment by throwing out used items.

The necessity of logistics can be shown as follows:

1. Logistics is needed to provide the right product, in the right quantity, at the right time, to the right place, at the right price, in the right quality to the right consumer.
2. Logistics is needed to do the activities such as stock control, product planning, purchasing of materials, transportation and warehousing systematically.
3. Logistics is needed to ensure that all machines and all work centers are getting the required materials, in the required quantities at the required quality, at the required time.

4. Logistics is needed to minimize cost and to maintain the supply chain continuously by conducting market research, planning requirements, making or buying decisions etc.

Benefits of logistics

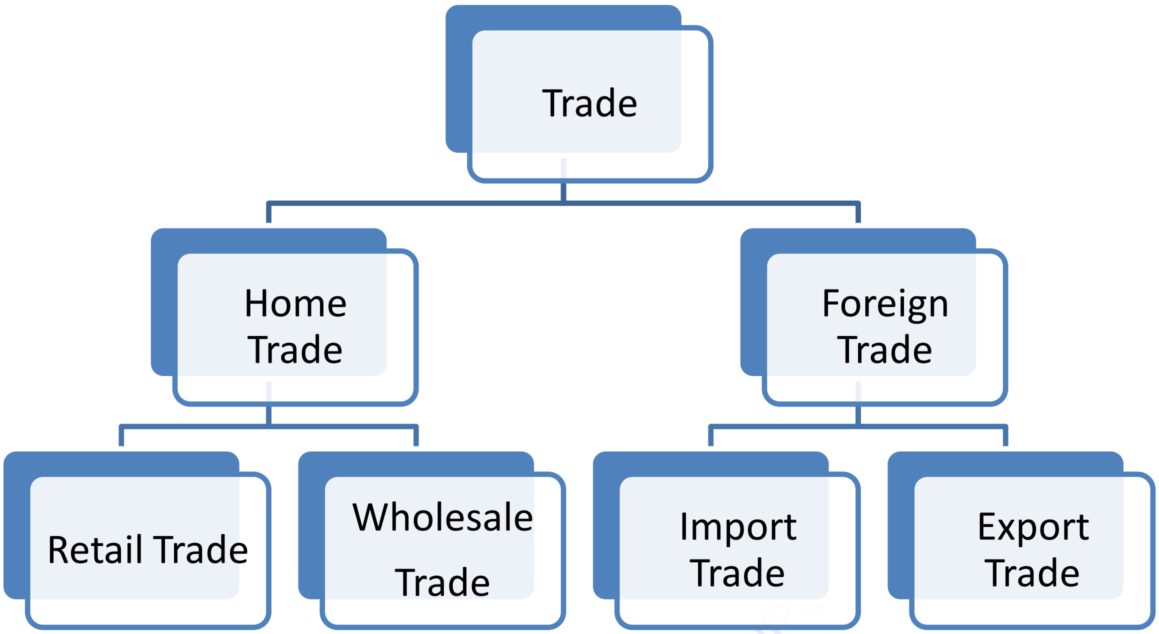
- Can gain the reliability of consumers by providing the products to the market continuously.
- Can minimize the cost through minimizing waste by doing all the activities according to a plan.
- Can face competition firmly.
- Can minimize the unnecessary cost relevant to machines and employees.
- Can ensure the quality of products.
- Problems are not generated due to the proper management of waste.
- Can be leaders of the industry

11. The contribution of trade in distributing the products.

11.1 The types of trade

The process of exchanging the ownership of goods and services on a particular consideration between the buyer and seller can be interpreted as trade.

The types of trade can be presented in the following flow chart



Trade within the boundaries of a particular country is known as home trade. The types of home trade are

- Whole sale trade
- Retail trade

The trade affairs created by a particular country with one or many other countries is known as foreign trade. The types of foreign trade are as follows

- Import trade
- Export trade

Methods of distributing consumer goods

1. Manufacturer → consumer
2. Manufacturer → retailer → consumer
3. Manufacturer → wholesaler → retailer → consumer

4. Manufacturer → agent □ wholesaler → retailer → consumer

Intermediaries are the parties who are involved in the process of distributing products from the manufacturer to the consumer. The following parties can be introduced as intermediaries

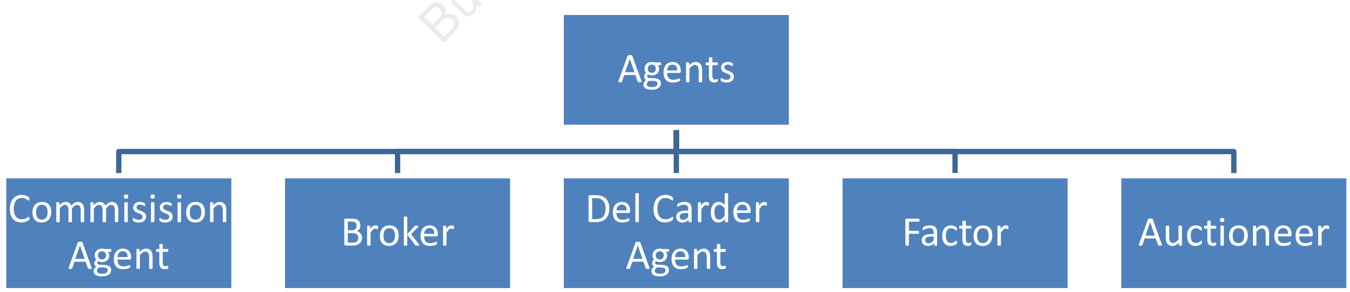
- Wholesale seller
- Retailer
- Agent

Wholesale seller - Those who are involved in selling goods for re-sale are known as wholesale sellers

Retailer- Those who sell goods and services to the end costumer are known as retailers.

Agent - A person who is involved in any activity on the authority of a head is known as an agent. The agent undertakes responsibilities on behalf of his head. He gains a commission for his service.

Agents can be categorized according to the services rendered by them



The commission agent

The commission agent is the one who purchases or sell on his personal desire on behalf of his master (head) for his head's benefit and earns a reasonable amount as commission.

Broker

A broker is the person who facilitates a transaction between a buyer and a seller by providing necessary information to one another in order to conclude the transaction through a contract by receiving a broker fee from the buyer or seller or sometimes from both the parties for his services.

Del credere agent

The agent who buys or sells goods under his personal name on behalf of the head is called del credere agent.

Factor agent

The agent who sells goods on credit and is responsible for the collection of debts from the relevant parties is a factor agent. In addition to the commission he is also entitled to a factor fee.

Auctioneer

As auctioneer is the agent who arranges the sales of the head's goods for the public to the highest bidder. He is entitled to an auction fee for his service

Advantages and disadvantages of getting intermediaries involved in trade

<u>Advantages</u>

1. Accumulating different types of goods from different manufactures or suppliers in a convenient location and making them available for consumers when necessary.
2. Introducing new goods and services being convenient.
3. Ability of obtaining market information easily through relevant parties.
4. The process of exchange will be simple

<u>Disadvantages</u>

1. The possibility of unnecessary shortage of an essential good in the market.
2. The possibility of the prices of goods being increased.

11.2 How retail trade takes place

Selling goods for the end consumer is known as the retail trade. The person who sells goods in that manner is known as the retailer.

<u>Some of the characteristics of retail trade</u>

- Selling goods and services for end consumption.
- Presenting a miscellaneous set of goods for sale.
- Facilitating the end consumer to buy the required goods, in adequate quantities, where it is necessary,
- Most probably credit sales may take place.
- Maintain a close relationship with the end consumer

Services rendered by the retailers

<u>To the producer</u>

- Introducing the new products of the producer to the consumer.
- Assisting in the promotion of the manufactured products by displaying banners, posters, distribution of samples etc.
- Provide after – sale consumer feedback about the product to the producer.

<u>To the wholesaler</u>

- Distribution of goods stored by the wholesaler to the consumer.
- Provide information on the market, consumer taste.
- Contributing to the promotion of wholesale activities.

<u>To the consumer</u>

- Provision of the required goods in adequate quantities when necessary.
- Make credit sales.

- Introducing new products and providing instructions when necessary.
- Providing various types of goods based on customer requirements.
- Providing various facilities to the consumer (E.g. : transport facilities , electronic payment methods)

Trends in retail trade

1. **Spreading of supermarkets throughout the country.** - Spreading of super markets that were limited to urban areas in the past are now in rural areas at present.

2. **Functioning of retail outlets using modern technology.** - Examples : Recording of prices using barcode , Digital flashes of prices , Using digital scales in weighting/ measuring , Use debit/ credit cards in making payments. , Application of CCTV camera systems in supervision
3. **Extending opening hours.** - Example : Ability to carry out transactions till late at night and at any time on holidays.

4. **Combining retail outlets with the supply of services.** - Examples : Laugfs fuel stations and supermarkets. Commercial mini bank and cargills supermarkets.

5. **Non store retailing -** This is where the consumer is able to purchase goods without visiting a retail outlet by placing orders through the telephone, fax, and internet and with the aid of catalogues. There are two methods:
   1. Online retailing - The electronic retail trade that takes place through the internet.
   2. Direct marketing - Products being supplied to the consumer without the aid of intermediaries E.g : Direct mail, Catalogue, Through the telephone and the TV

6. Automatic vending machines - For sweets, chocolate, soft drinks

7. Using of modern management techniques.

11.3 How wholesale trade takes place.

Wholesale trade can be defined as the sale of goods to the purchasers who purchase with the intension of resale. The party involved in this trade is the wholesaler.

The characteristics can be observed in wholesale trade.

- Purchasing of goods with the purpose of resale.
- Selling goods in lots/batches
- Providing trade discounts
- Storage of goods in large quantities
- Conduct of sales promotion activities
- Carrying out marker researches
- Providing transport services when distributing goods in bulk.

Service rendered by the wholesaler

<u>To the producer</u>

- Purchasing the products of the producer in bulk/lots/batches
- Providing information about the market
- Providing various services to the producer
  E.g.: Financial facilities, obtaining raw materials

<u>To the retailer</u>

- Supplying goods in bulk/lots/batches
- Transporting goods to the retail trade centre it self
- Providing loan facilities
- Engage in storing out, mixing up and packaging of goods

11.4 The foreign trade

The trade that is carried out by one country with another country/countries is foreign trade. There are several factors that provide the basis for foreign trade.

1. **The inequality distribution of natural resources**

Because some countries have been endowed particular natural resources significantly the products associated with those resources can be produced only by those countries themselves.

E.g : Middle East _ Crude oil

South Africa _ Gold

Sri Lanka _ Tea

2. **Relative cost advantage**

If a particular country is able to manufacture a product at a low cost relatively to import then it must be manufactured by them in order to export and where a product can be imported at a low cost relatively to manufacturing, such products must be imported.

E.g : Sri Lanka – Garment industry

3. **Retaining a legal monopoly in some countries with regard to some products. Patents and Copyrights**

   The required competency and technology for some products being unavailable in every country or limited to some countries.

E.g : Robotic technology

Motor vehicle technology

4. **Goods promotion**

Using various sales promotion strategies to gain a worldwide market for one's own products.

5. **Trade barriers being minimised**

The removal of many sanctions/embargoes, that exists as tariff and no-tariff barriers to trade.

There are several types of foreign trade.

- Import trade

- Export trade
- Re-exports
- Entreport trade

Import trade

Buying goods and services by a particular country from another country/countries is called import trade. E.g : Purchasing of motor vehicles from Japan by Sri Lanka.

Export trade

Selling goods or services manufactured in a particular country to another country/ countries is called export trade. E.g. : Shipping of tea from Sri Lanka to Iraq.

Re-export

Re-export trade is where goods imported from one country being exported to another country in its original form or having been subjected to many changes. Here, any tariffs paid at the point of import can be reimbursed.

E.g. : Where cloth and other accessories are imported and finished garments being exported to another country.

Entrepot

Where goods are imported from another country and kept in a warehouse at the point of entry without being brought into the country and re-exported to another country with or without any changes to the goods is called entrepot trade. As this transaction takes place within the port premises itself tariffs are inapplicable.

E.g.: Sri Lanka imports tea from India and exports to Iran.

A country can engage in foreign trade and gain many benefits

1. Ability to export the surplus of production
2. Ability to import products that cannot be manufactured locally
3. Ability to earn foreign exchange
4. Ability to obtain economic gains

As a result of foreign trade, products are manufactured not only for the local market but for the global market as well. When goods are manufactured to meet the demands of a wide market, it becomes a large scale production resulting in economic gains.

Benefits of international trade

- International trade relations and international co-operation being enhanced and strengthened.
- New technological and management skills being upgraded.
- Becoming a support for economic development

E.g : Employment opportunities, Upliftment of living standards of the people Obtaining maximum benefits of resources

Free trade is having the necessary space for various parties to engage in the import and export of goods without any barriers. The barriers to free trade are categorized as tariff and non-tariff barriers.

Free trade - In the trade between countries, the imposition of tariff is a barrier to free trade.

Barriers other than the imposition of tariff, to free trade are known as non-tariff barriers.

Examples

- Limiting imports – quotas
- Limiting exports – quotas
- The prohibition of imports/exports
- Trade agreements
- Stringent exchange policies

11.5 The import and export producers.

Most probably the import and export business transactions take place through the involvement of an agent. However, there are instances that the orders are placed directly and the transactions are made. Whichever method is used, there is no difference in the documentation required in the import/export procedure.

Import procedure

1. **Selection of foreign suppliers**

Selecting a suitable foreign supplier through a study of information available in the Chamber of Commerce magazines and publications, embassy offices, trade exhibitions, web sites etc.

2. **Submitting a price inquiry**

Having selected a suitable supplier, the prices of the goods to be imported are inquired. For this purpose, the selected supplier will be requested for a price list.

3. **Receiving a quotation**

The supplier (exporter) will submit a quotation that includes the prices at which he is willing to supply the goods, and other terms and conditions, to the importer with response to the price inquiry.

4. **Obtaining import license**

When certain products are imported, it is necessary to obtain an import license. This is issued by the Import and Export Control Department. The products for which the import licenses are required is decided by the Commissioner of Import and Export.

5. **Issuing an Indent**

If the importer is in agreement with the quotation he has received, he should submit a purchase order. This purchase order is also known as an Indent.

6. **Making arrangements with regard to the payment to the exporter.**

Most probably Letter of Credit and Credit cards are used for making payment to the exporter.

7. **Clearing of the goods**

After the relevant payment is made, the goods can be cleared by producing the relevant documents.

N.B: The necessary documentation is explained later.

Export procedure

1. Getting registered as an exporter.
2. Finding a foreign purchaser
3. Obtaining an export license if necessary.
4. Responding to the price inquiry received from the importer by submitting a quotation.
5. Obtaining the indent from the importer.
6. Reservation of shipping space and preparing the necessary documents.
7. Packing the goods in an appropriate manner for shipping
8. Insuring the batch of goods to be exported.
9. Obtaining the bill of lading once the goods have been handed over to the shipping agent.
10. Making necessary arrangements for the receipt of the consideration.

The documentation used in the import/export trade

1. **Import/Export License :**

The products for which a license is required in import/export trade are announced (published) by the Export and Import Controller. Some of the institutions involved for this as follows

- Examples : Tea – Sri Lanka Tea Board

- Gem and Jewelry – State Gem and Jewelry Authority
- Vegetables, spice and betel – Department of import and export control

2. Indent/Order

If the importer is in agreement with the quotation provided by the exporter and willing to purchase the goods from him, an order should be placed with the relevant supplier (exporter). This order is known as an Indent. Placing of this order can be done through the internet. This indent which is sent to the foreign supplier by the importer contains the details of the goods required, price, relevant shipping conditions etc.

3. Bill of Lading (B/L)

This is issued to the exporter by the ship-owner or his agent on behalf of a shipping company. This confirms that the goods relevant have been received by the ship and that the shipping company is responsible to transport the said goods to the relevant port of destination and hand over appropriately. A copy of the Bill of Lading is sent to the importer by the exporter and this becomes an essential document for the importer to confirm that he is the rightful owner of the goods when the ship reaches to the port of destination. This contains details such as a description of the goods, exporter's name, importer's name, the name of the ship and the port of discharge etc.

4. Invoice

This is a document which contains details of goods that are being exported. It includes details of goods, pricing details, conditions of payments, shipping route, terms for rejection of the goods etc.

5. Letter of Origin

This is a document which is issued by a recognized board of trading, or any other state authority, certifying that the goods handed over for shipping have been manufactured in the exporting country. This document is very important for claiming tariff commission.

Example : when Sri Lanka exports goods to the European Union the letter of origin is issued by the Board of Investment or the Ministry of Industries

6. Letter of Credit (L/C)

In the Import/Export trade, very often this method is used to settle the payment to the exporter. The letter of credit is issued by the importers bank to the exporter's bank on behalf of the importer on his request. This is a confirmatory document issued by the importer's bank stating that payment for the goods shipped by the exporter will be made definitely.

7. Import entry

This is the document that must be submitted to the Customs by the importer or his agent confirming the importer's ownership to the goods that have been received at the port of destination. This is prepared using the Bill of Lading or Invoice.

8. Export entry

This is the document submitted to the Customs of the exporter's country by the exporter giving full details of the goods that are anticipated to be exported.

9. Insurance certificate

This is the certificate of insurance obtained by the exporter or importer when exporting the relevant batch of goods. This certificate will be obtained by the importer or exporter based on the terms of the sales agreement.

10. Wharfinger's Receipt

This is the document issued to the exporter by the Customs confirming that the goods were received and undertaken by them.

11. Letter of Indemnity

This is the document issued to the Ship's Captain by the exporter to obtain a pure Bill of lading confirming that the exporter accepts full responsibility for any risk for breakages or damages or any future risk to the consignment or any part thereof in a situation where the ship's captain may consider to issue an impure Bill of Lading.

A pure Bill of Lading is issued when the goods loaded to the ship are in a good condition. If all the goods or any part of the goods loaded to the ship are broken or damaged, an impure Bill of Lading will be issued.

12. Sanitary Certificate/Health Certificate

Depending on the requirements of the importing country, some agro products of the exporting country may require a certificate from an accepted authority to confirm the suitability of the product for consumption.

Example : For agro products – Agriculture Department

For fisheries product – Ministry of Fisheries and Aquatic Resources

13. Warehouse Certificate

The storage in close proximity to the port is known as Warehouse. A warehouse certificate is issued by the warehouse authority to the importer to confirm that the goods have been stored there. While the goods are in the warehouse they may be transferred to another party by transferring the ownership of the Warehouse Certificate. Therefore, the Warehouse Certificate is a transferable document.

The methods used to settle the payments in foreign trade

- Through opening Letter of Credit
- Through Bank Order

This is the statement of order given to the bank of the receiver of the money or to the agent bank of the receiver by the bank of the sender stating to pay the mentioned money to the mentioned recipient according to the given conditions.

Electronic payment methods

This includes the modern techniques of settling payments using internet facilities.

Examples : Credit cards

This is the most frequent method used to make payments. Visa, master, American Express are some types of cards that can be obtained from the banks and are used as a payment method through the internet,

Internet prepaid cards

Internet pre-paid cards can be used on a temporary basis by depositing a sum of money to be used for a particular purpose.

Internet prepaid facilities

Payments are made through one's own bank account and required directions are provided with internet banking. Most of the banks at present facilitate their accounts holders in this manner. Those who are in need of this service can get registered and access the relevant website using the user name and the password.

Payment through Electronic Payment entities

Without making direct payments to the institute from where particular product was purchased the relevant payment is made through a recognized payment making institute in this method.

Example : www.paypal.com

Before making payments in this manner it is necessary to register with the PayPal portal and provide with information about the bank account and credit cards. In this manner external parties do not have access to the credit card information.

11.6 International unions, trade agreements and organizations that contribute to the uplift the foreign trade.

Free trade zone

A free trade zone in which few countries work together with co-operation in accordance to a treaty in connection with tariff, duties and trade is known as a trade block.

Trade blocks are also known as free trade zones, trade associations and trade partnerships.

Trade zones:

- European union (EU)
- Association of South East Asian Nations (ASEAN)
- Group of 8 (G8)

European Union (EU)

This consists of 26 European countries. The origin of this was the European Economic Community established on the treaty of Rome signed by 6 European countries in 1957. While its members maintain a common trade policy, agriculture and fisheries policy, zonal development policy, it also has introduced a common currency unit called Euro in 1999.

EU member countries

1. Austria	10. Netherland	19. France
2. Czech republic	11. Slovakia	20. Germany
3. Italy	12.	21. Greece
4. Malta	13. Bulgaria	22. Hungary
5. Romania	14. Estonia	23. Cyprus

6. Sweden	15. Latvia	24. Iceland
7. Belgium	16. Poland	25. Luxembourg
8. Denmark	17. Slovenia	26. Portugal
9. Lithuania	**18.** Finland	27. Spain

Association of South East Asian Nations (ASEAN)

This is a society of 10 South East Asian countries which was established for Political and Economic co – operation. ASEAN was proceeded by an organisation formed in 1961 called the Association of South East Asia (ASA), a group of countries consisting of Philippines, Malaysia and Thailand. These three countries joined with Indonesia and Singapore and ASEAN was established in 1967.

The ASEAN member countries are

❖ Philippines	❖ Singapore
❖ Indonesia	❖ Laos
❖ Vietnam	❖ Thailand
❖ Cambodia	❖ Brunei
❖ Malaysia	❖ Myanmar

Group of 8 (G8)

This is an International organisation founded by 8 main stream countries in the world. The oil crisis in 1973 and the global economic recession were the reasons for the origin of this organisation in 1974. Amalgamated with United States of America (USA), West Germany, Japan and France unofficially with three other countries was the origin of this organisation .Once Russia joined the group in 1997 this was officially named as the Group of 8 (G8).

G8 member countries are:

- United states of America
- West Germany
- Canada
- United Kingdom
- Italy
- Russia
- France
- Japan

Trade agreements

An agreement created between two or more countries for the trade and exchange of goods during a specific period is known as a trade agreement. An agreement between two countries is known as a Bi – lateral agreement whereas an agreement between three or more countries is called as a multilateral agreement.

Some examples of trade agreements

- North American Free Trade Agreement (NAFTA)
- South Asian Free Trade Agreement (SAFTA)
- Asia Pacific Trade Agreement (APTA)

North American Free Trade Agreement (NAFTA)

This is an agreement in which of the USA, Canada and Mexico partnered and which was commenced on the 1st of January 1994. Conditions for the abolition of trade barriers among these three countries, removal of tariffs, Exchange of labour are included in this agreement.

A specific characteristics of this agreement is that it will be limited to the goods manufactured within these countries only. When the goods manufactured outside these three countries are exchanged among them andtariffs are applicable. Goods will be free of tariff only when the terms such as Made in USA, Made in Canada, and Made in Mexico are stated.

South Asian Free Trade Agreement (SAFTA)

The agreement which was made with the intention of spreading trade co-operation within the SAARC zone, creating a free zone within South Asia and making economic policies of the SAARC zone countries on line with globalization.

This agreement was signed at the 12th SAARC summit held in Islamabad in 2004. With the different states entering into this agreement, they made a collective agreement to benefit through the removal of tariffs on all imports among the countries, ports and transport facilities, provision of services with regard to trading etc.

Asia – Pacific Trade Agreement (APTA)

This agreement commenced as the Bangkok agreement in 1975 and was named as the Asia – Pacific Trade Agreement (APTA) on the 2nd November 2005. The member countries of this agreement are Bangladesh, China, India, Laos, Mongolia, Sri Lanka and South Korea. This is the oldest and preferred trade agreement in the Asia Pacific region.

The objective of this agreement is to expedite the economic development of the member countries through minimizing tariff and barriers as far as possible to import goods and services rather than importing goods and services from other countries.

International organizations :

Organizations that have been established to minimize barriers of tariff, exchange control regulations, customs rules and regulations that impose restrictions on foreign trade are known as international organizations.

Some examples for such organizations:

- World Trade Organisation (WTO)
- South Asian Association for Regional Co-operation (SAARC)
- Asian Development Bank (ADB)
- International Bank of Reconstruction and development (IBRD)
- International Monetary Fund (IMF)

World Trade Organisation (WTO)

This is an international organization established to ease and monitor the international trade. Having commenced on the 1st January 1995, this organization operates globally in connection with the trade rules and regulations among nations. The head office of the

WTO is located at Geneva in Switzerland. The main purpose of the WTO is to facilitate discussions among member states for trade promotion, to look down on trade barriers, and to raise the welfare of the people in the member counties.

South Asian Association for Reginal Co-operation (SAARC)

This is an economic and political association of eight South Asian countries. It was established on December 8th 1985.

The co-operative activities within SAARC are performed across five areas.

- Agriculture and rural development.
- Tele communication, Science technology and climatology.
- Health and population affairs
- Transport

- Human resource development.

SAARC member countries

- ❖ Sri Lanka
- ❖ Bangladesh
- ❖ Bhutan
- ❖ India
- ❖ Nepal
- ❖ Afghanistan
- ❖ Pakistan
- ❖ Maldives

Asian Development Bank (ADB)

The Asian development Bank commenced its operations on 19th December 1966. The Head office is situated at Manila in Philippines. Out of 67 member countries at present, 48 are from the Asian region while the rest 19 from the pacific region. Its main objective is to promote economic and social development of the member countries. This bank takes steps to provide loans and grants to its member countries for implementing poverty eliminating projects.

International Bank for Reconstruction and Development (IBRD/ World Bank)

The IBRD was commenced on the 27th of December 1945 with the Bretton Woods agreement to re-build the European economy that was destroyed in the 2nd world war.

International Monetary Fund (IMF)

The IMF can be introduced as the international organisation that provides financial and technical assistance as well as observes the balance of payment and exchange ratios. Its head office is situated at Washington in USA.

It has been established with the objectives of improving global finance co-operation, ascertaining financial stability, facilitating for the international trade, widening employment opportunities, sustainable economic development and reducing poverty.

Trade associations, trade agreements and international organizations have numerous impacts on foreign trade.

Examples:

- Removal of tariff and non-tariff barriers that affect free trade.
- Promotion of co-operation among countries.
- Gaining stable market for the country's own products through trade agreements.
- Minimize disadvantages of price changes since a stable price is gained.
- Ensuring all member countries gaining equal rights.
- Promotion of global financial co-operation and confirmation of financial stability.
- Expansion of employment opportunities, sustainable development and reduction of poverty etc...

Some of the trends in foreign trade

1. Spread of foreign trade all over the world through E-commerce.
2. Establishment of new trade zones and trade partnerships to accelerate the economic development and to face the economic challenges/ crisis effectively.
3. To channel a country's resources towards a diversification of production followed by an advanced technology instead of being restricted to traditional exports.
4. Leaning towards foreign trade policies to encourage higher value added products.
5. Attention being placed currently towards the Sri Lankan export packages.

11.7 Electronic commerce (e-commerce)

Where a business uses computer networks for all the internal procedures such as production, marketing, accounting, human resource management affairs etc. besides trade affairs they are known as electronic businesses. Information technology is used in an electronic business for the activities exchanging of information and for feedback.

Electronic commerce is only one part of the electronic businesses. E commerce is the support services like transportatuon, communication, banking take place through electronic networks.

Electronic businesses and electronic commerce can be depicting diagrammatically as follows.

Electronic business **Electronic business**

Production

Suppliers → Purchase section → Financial **Marketing ←→ Consumers**

Human resources

Conducting of buying and selling of goods and services through computerized information systems followed by internet is known as electronic trade.

The procedure of electronic trade

- Meeting of buyers and sellers through the internet.
- Organizing of the trade transaction.
- Conducting of buying and selling affairs.
- Settling the payment relevant to the transaction.

The advantage of electronic trade gained by the businessman, customer and the society

The advantages to the businessman

1. Since more efficient and effective service can be rendered the profits and goodwill being enhanced.
2. The availability of cost benefits

- Cost related to stock being minimized
- Minimizing cost of stationery and communication
- Minimizing the cost as a result of less intermediaries

3. The market being expanded as there are no geographical boundaries

Advantages to the customer

1. Availability of a broader range for selection of goods.
2. Ability to place the order quickly and easily
3. Ability to make transactions throughout the 24 hours
4. The price level of the production relatively being reduced

Social benefits gained

1. Up liftment of living conditions of the consumers
2. Opportunity for consuming modern products
3. Approach to new markets and employment opportunities

Few limitations of electronic commerce

- Internet facilities not being available everywhere
- Lack of knowledge in consumers about the use of internet
- Problems arising in payment systems
- Legal restrictions like payment of taxes
- Lack of trust electronic systems
- Malpractices through computerised networks

The methods in which electronic trade takes place can be stated as follows:

1. B2B – Business to business

These are transactions from one business to another

Example : Recieving orders from one business to another through the internet.

2. B2C – Business to Customer

A business selling some product or service to the customer through the internet. This is also known as electronic retailing E-retailing.

3. C2C – Customer to customer

A customer selling goods or services to another customer through the internet. Example : Transactions that take place through e-bay.

4. G2C – Government to citizen

Payment for government services and obtaining such services through internet.

Examples : Ability of citizens in the Western Province to renew their motor vehicle licenses with the access of www.motortraffic.wp.gov.lk

5. B2G – Business to Government

Business making various payments to government through the internet and providing with services.

Example : Payment with the contribution for Employees Provident Fund.

6. G2B – Government to Business

Example : SLIPS _ Sri Lanka Inter-banking paying system

7. C2G – Citizen to Government

Examples : Payment of bills, exam fees, and license fees etc. Application for University entrance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